



Central Bank
of Armenia

2025 Q1

Monetary Policy Report

Monetary Policy Program

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In addition to the Monetary Policy Report, the CBA concurrently publishes additional materials on its website, which the reader is encouraged to reference. These include the [MPR Chart Pack](#) (containing statistical charts and tables for global and domestic economic developments as well as the illustrative scenario projections) and the [Transparency Report](#) (providing transparency into how the Board of the CBA arrived at its decision).

DISCLAIMER The data presented in this report is current as of March 14, 2025.

01 |

Executive Summary

A. Executive Monetary Policy Statement

The Board of the CBA decided today to keep the Refinancing Rate unchanged at 6.75%.

At its meeting today, the Board of the Central Bank of Armenia decided to keep the key policy rate (refinancing rate) unchanged at 6.75%.

Annual CPI inflation approached the target level, reaching 2.5% in February 2025. Meanwhile, core inflation has also remained at low levels, at 1.5% year-over-year in February.

In Q1 2025, the risks of slower economic growth and accelerated inflation in global markets and Armenia's key partner countries have significantly increased. In particular, the risks of price increases and potential disruptions to supply chains in international commodity markets and key partner countries have intensified, driven by growing tensions in international trade relations and ongoing geopolitical uncertainties. Uncertainty related to fiscal expansion in US over the medium term and resulting increase in debt and long term interest rates increased significantly recently. At the same time, sticky prices in key trading partner economies continue to remain relatively elevated, while labor market conditions continue to be tight. In this context, key trading partner central banks will continue to gradually lower policy rates at a slower pace than previously expected, while still maintaining a relatively tight stance in the near term. Consequently, weak deflationary effects from the external sector on the Armenian economy continue to persist.

Since the beginning of the year, economic activity in Armenia remained close to estimated sustainable long term growth rate, continuing to be largely driven by meaningful growth in construction, services and trade. The latter has been affected by certain short-term factors, posing significant uncertainty with respect to the sustainability of economic growth and its long-term outlook, as well as the strength of domestic demand and consumption conditions. External demand for services continues to decline, while the overall demand environment is assessed as neutral from an inflationary perspective. In this context, labor market conditions continue to cool, as reflected in the gradual stabilization of wage growth, non-traded sticky price inflation and inflation expectations. At the same time, risks for demand pressures stemming from fiscal policy continue to persist.

In order to manage possible risks stemming from conditions of high uncertainty, the Board considers multiple scenarios during its deliberations. On the one hand, the Board discussed scenarios where possible underlying developments would require a higher path for the policy rate relative to current market expectations to ensure price stability. This includes scenarios related to the risk premium of Armenia, amid the geopolitical developments, and the resulting macroeconomic effects. On the other hand, the Board discussed scenarios related to the risks of prolonged uncertainty over US economic policy, the decline in global economic confidence, and the resulting risks of reduced growth and weakened demand in Armenia. This would imply a more rapid and aggressive downward path for the policy rate than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon.

As a result, seeking to minimize the losses that could stem from these and other scenarios materializing, and balancing the aforementioned risks in both directions, the Board finds it appropriate to keep the Policy rate unchanged in a line with market expectations. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure the price stability objective of 3% inflation in the medium term.

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Approved by the Board of the Central Bank of Armenia
March 18, 2025

Governor

Martin Galstyan

Deputy Governors

Armen Nurbekyan

Hovhannes Khachatryan

Board Members

Hasmik Ghahramanyan

Davit Nahapetyan

Artak Manukyan

Levon Sahakyan

Narek Ghazaryan

B. Summary of Economic Conditions

Global Economy

In Q1 2025, economic activity among Armenia's main trading partners has been mixed. In the US, the strong economic growth and wealth accumulation observed in recent quarters create preconditions for continued expansion driven by consumption. However, uncertainty surrounding economic policy outlooks in recent months may restrain private demand in the near future. In Russia, high economic activity persists, largely supported by strong domestic consumption, particularly in services. Meanwhile, economic activity in China is showing signs of slowing, driven by weakening domestic demand. In the Eurozone, economic growth remains at a low level. Overall, risks of a slowdown in global economic activity persist.

Uncertainty continues to surround economic fundamentals in the US. Uncertainty has increased particularly regarding economic policies—especially trade and fiscal policies—which has contributed to heightened financial market volatility and some asset price adjustments in recent months. Despite strong consumption growth in recent quarters supporting high economic growth (with GDP growing by 2.3% in Q4 2024, of which approximately 2.8 percentage points came from personal consumption expenditures), the rising uncertainty around economic policies poses risks of consumption and investment delays, potentially slowing economic growth. While headline inflation is gradually approaching the target, some core inflation indicators—such as sticky-price goods inflation and wage growth—remain significantly above target. At the same time, trade and fiscal policies under the new U.S. administration pose substantial risks of an expansionary inflationary environment, which could further complicate the Federal Reserve's trade-off between price stability and full employment objectives. Beyond the short-term inflationary effects, a more expansionary fiscal policy stance in the medium term also raises risks of a higher debt trajectory and an increase in the neutral rate. This could impact both the future course of Fed policy and long-term interest rates, as well as capital flows to emerging markets. These developments continue to challenge monetary authorities in their efforts to bring inflation sustainably to target and ensure price stability.

In March 2025, the European Central Bank (ECB) further lowered its policy rate by 25 basis points, setting it at 2.65%. After a temporary acceleration in 2024 driven by external demand factors, economic growth at the beginning of the year remains generally weak, with growth prospects and structural composition—particularly in the industrial sector—continuing to raise concerns. Headline inflation is declining due to weaker goods inflation, while services inflation remains elevated, reflecting a deepening divergence in economic developments across different sectors. This presents a significant challenge for the ECB in terms of calibrating the pace of policy

adjustments while ensuring the achievement of its inflation target.

Risks of persistently weak domestic demand in both the Eurozone and China, along with uncertainty surrounding economic policies and geopolitical developments, remain key factors contributing to the outlook for slower global economic growth.

Economic growth in Russia remains strong, supported by both expansionary fiscal policy and a significant increase in private spending. In this environment, intensifying competition for labor between the military-industrial sector and the private sector—amid tight labor market conditions—could heighten inflationary risks. Despite the Bank of Russia's substantial tightening of policy conditions, meaningful progress in stabilizing inflation has yet to be observed. On the other hand, stricter and more targeted Western sanctions, combined with a significantly tighter monetary policy stance, pose risks to Russia's medium-term economic outlook. At the same time, the likelihood of a near-term resolution to the Russia-Ukraine conflict has increased, introducing mostly upside risks to short- and medium-term economic growth.

The inflationary environment in global commodity markets continues to remain weak, though upside risks exist. Heightened geopolitical tensions in the Middle East, which show few signs of easing, continue to threaten both higher and more volatile energy prices as well as potential disruptions to global supply chains. At the same time, food prices continue to remain below the high levels of the previous two years.

In global commodity markets, food prices have stabilized in recent months but remain at higher levels compared to the previous year. However, significant uncertainty persists regarding the medium-term trajectory of commodity markets. Rising geopolitical tensions in the Middle East continue to pose risks of increased oil price volatility and potential disruptions to global value chains. Conversely, if global demand weakens further, deflationary pressures could emerge.

Domestic Demand Conditions

In the fourth quarter of 2024, economic growth in Armenia continued to slow, approaching the estimated level of long-term sustainable growth. The construction, trade, and services sectors made significant contributions to growth. These trends in economic activity persisted in January 2025, with growth accelerating slightly to 7.1%. It is worth noting that alongside the stabilization of economic growth, concentration has also weakened. Nevertheless, due to the structure of growth, high uncertainty remains regarding the relative position of aggregate supply and aggregate demand.

The robust external demand observed since 2022 has been gradually weakening in 2024, as reflected in the stabilization of both real expenses per tourist and tourist arrivals.

Considerable uncertainty continues to surround current domestic demand conditions. On the one hand, strong growth in retail trade, consumer credit, domestic tourism, and other services points to strong domestic demand. On the other hand, recent economic growth has been fairly concentrated in certain sectors, remittances have continued to decline, and labor market conditions have eased somewhat. These factors, coupled with the overall weak inflationary environment for several successive quarters, could point to weaker demand conditions in the economy.

Uncertainties also surround the outlook and future trajectory of domestic demand conditions. Key uncertainties relate to the reduced debt burden (given higher incomes); the future utilization of accumulated savings in the private sector; slowing wage growth; and geopolitical and regional uncertainties. For example, depending on how and in which direction savings are spent (consumption vs. investment), this could have different implications on the relationship between aggregate demand and aggregate supply in the economy.

Additionally, risks for modest demand pressures stemming from fiscal policy continue to persist. This is driven by risks of revenue underperformance, as well as high current expenditures given the imperative for various social support programs. The risks of expenditure underperformance, as well as their structure, also remain significant, potentially exerting a more restrictive impact on aggregate demand.

Labor Market & Inflation

Uncertainty regarding the labor market conditions persists. The household survey-based unemployment rate in Q3 2024 moderated to 13.3%, which is 1.2% higher compared to the same quarter in previous year. Considering uncertainty surrounding the level of unemployment, it is important to continue to monitor potential development scenarios and their consequences. On the one hand, the increase in the unemployment rate compared to previous year could reflect arguments for weakening demand conditions across the economy, given that the uptick in unemployment has been driven by increases in the number of unemployed rather than increases in labor supply. This is also in line with a certain outflow of foreign workers and a slowdown in wage growth rates during 2024. On the other hand, the total number of registered employees, per State Revenue Committee data, continued to increase by around 34 thousands. This could suggest that labor conditions are tighter than what the household survey suggests. Alternatively, the growth in registered employees could reflect gradual, structural declines in the shadow labor market in favor of formal employment.

In recent months, wage growth in the private sector has accelerated. However, it remains below the level consistent with productivity growth and the inflation target. In the medium and long term, a potential expansion in labor supply

could serve as an additional factor in easing labor market conditions and reducing market-driven pressures. The main uncertainty here is related to the high uncertainty surrounding Russia's economic growth prospects, the flow of Armenian labor migrants to Russia, participation in the domestic labor market, and the integration of economically inactive populations into the workforce.

In the first quarter of 2025, the economy continues to experience a low-inflation environment, largely driven by ongoing deflationary pressures from the external sector and a weakening of foreign demand for certain domestic services. In this context, 12-month inflation has remained below the target since April 2023, reaching 2.5% in February 2025. Non-traded sticky price inflation, which primarily reflect domestic demand-driven price behavior, remained stable at 2.2% year-over-year in February. The increase in global food prices has not yet been fully reflected in domestic prices. On the other hand, the decline in prices for imported non-food goods continues, mainly due to falling producer prices in China. At the same time, prices for certain services have continued to decrease amid weakening external demand. Under these conditions, inflation expectations have also continued to decline, approaching the target level. This is evidenced by both the persistently low inflation environment and household survey results.

Monetary Policy

Market expectations of the CBA policy rate path have adjusted very slightly downward since the latest decisions, and continue to reflect expectations of a gradual reduction in the policy rate over the next eight decisions. The yield curve has shifted downward to some extent, reflecting also to some extent the gradual adjustment of inflation expectations following the reduction in the inflation target. At the same time, per CBA estimates, it is likely that, besides market expectations about the future policy rate, the yield curve also reflects certain other risk factors.

In recent months, Armenia's country risk premium has declined to some extent and remains significantly below the long-term stable level determined by the country's fundamentals. However, it still reflects uncertainties related to debt sustainability, geopolitical risks—including border tensions—and regional developments. In this context, a potential upward adjustment of the country risk premium poses risks for a revision of the neutral rate to the upside, which, all else being equal, could create inflationary pressures due to a more accommodative monetary policy stance. At the same time, Armenia's macroeconomic stability and strong economic growth provide certain positive factors for a possible reassessment of the country's risk premium and a potential reduction in the neutral rate.

Considering the persistence of numerous types of uncertainty, the CBA builds and evaluates several different scenarios for future economic developments in order to manage possible risks stemming from these key areas of uncertainty. The Illustrative Case A Scenario presented in this report (which

requires a higher policy rate path compared to market expectations) is based on the assumption that a possible resolution of the Russia-Ukraine conflict and potential positive developments in Russia's economic outlook could create additional inflationary pressures. These pressures may arise from increased external demand, seasonal migration from Armenia to Russia, and higher inflow of remittances to Armenia. In this scenario, a tighter monetary policy stance compared to market expectations would be more appropriate for the Central Bank of Armenia, considering the potential formation of strong domestic demand and the associated inflationary risks in the near future.

The illustrative Case B scenario presented in this report (which requires a lower policy rate path compared to market expectations) is based on the assumption that significant uncertainties surrounding the economic policies of the new U.S. administration lead to a sharp decline in confidence among households and businesses. As a result, consumer and investment spending is postponed, and economic growth slows significantly.

Given the scale of the U.S. economy, these developments would also contribute to a deflationary environment in global commodity markets and a decline in consumer and business confidence worldwide. Consequently, in the presence of weak external demand and deflationary pressures from the external sector, Armenia would face risks of prolonged weak demand and a low-inflation environment.

In such a situation, the Central Bank would prefer a more aggressive reduction in the policy rate compared to market expectations to stimulate demand in the medium term and bring inflation closer to the target.

In the context of the latent risks and uncertainties in the current period, the CBA builds and discusses various scenarios, summarized in the Taxonomy of Scenarios, with the aim of managing possible risks and assessing sources of uncertainty. At the same time, the MPR includes a deeper dive into two illustrative scenarios, which reflect illustrative future paths of the economy that would require either a higher path for the policy rate (Case A) or a lower path of the policy rate (Case B) relative to current market expectations. These illustrative scenarios do not represent a most-likely future, assign weight or probability to outcomes, or include all possible risks and uncertainties.

02 |

Monetary Policy Objectives & Framework

Statement of Long-Run Monetary Policy Objectives

Adopted effective March 12, 2024; renewed effective March 18, 2025

As enshrined in “The Law of the Republic of Armenia on the Central Bank of Armenia,” the primary objectives of the Central Bank of Armenia are to ensure price stability and financial stability. The Board of the CBA is committed to using its full suite of monetary policy instruments to achieve its price stability mandate and provide a nominal anchor for the economy.

We emphasize that the primary objectives of price stability and financial stability are a means to an end. The ultimate purpose of the CBA as an accountable public-sector institution is improving the welfare of our nation. A commitment to achieving low and stable inflation provides a credible nominal anchor for the economy and thereby anchors inflation expectations, helps to avoid inefficient boom-bust cycles, stimulates investment, supports the economic development of the country, and improves living standards over time.

The CBA develops and implements monetary policy to achieve its price stability objective. The fundamental role of monetary policy is to provide an anchor for inflation and inflation expectations. The Board believes that a three percent inflation target is consistent with its price stability mandate. The inflation target is expressed in terms of the Consumer Price Index (CPI), since it is the best measure of the cost of living and final consumption expenditures, and is the primary reference point for market participants when making planning decisions and setting contracts. Nevertheless, the overall CPI basket of goods and services includes several items that are subject to seasonal fluctuations and global economic developments, which are not directly influenced by monetary policy. We therefore consider alternative measures of inflation, such as core and non-traded sticky prices, which can provide useful information on the underlying inflationary environment.

The CBA’s primary means of adjusting the stance and path of monetary policy is through changes in the expected path of short-term interest rates. If interest rates were to be constrained by the effective lower bound, the Bank would be prepared to use its full range of policy tools.

While emphasizing the primacy of achieving the price stability and financial stability mandates over the medium term, the CBA recognizes that it is also responsible for managing the short-run tradeoff between inflation and output. In an open market economy, periodic economic and financial shocks cause economic activity and inflation to fluctuate over time. In this context, the CBA does not target CPI inflation on a period-by-period basis and does not attempt to bring CPI inflation back to the target in the short term if it would result in undue economic and financial instability. In any economic situation, the CBA seeks to develop and implement monetary policy in a manner that brings inflation to the target in the medium-term (12 quarter) horizon, while minimizing associated social costs through a “least regrets” approach.

Effective monetary policy improves welfare by anchoring long-term inflation expectations and reducing the volatility of output and unemployment. Avoiding excessive volatility in the economy can result in substantial improvements in welfare by fostering employment and raising the productive capacity of the Armenian economy. The Bank emphasizes that placing weight on other near-term objectives must not be inconsistent with its primary responsibilities of achieving its three percent target in the medium term and maintaining price and financial stability.

The Board places great emphasis on the importance of communicating its policy and decision-making framework to the public in a clear and comprehensible manner. Clear and effective communication helps make policy more effective, and encourages financial markets, businesses, and the general public to better understand and manage risks and uncertainties. Moreover, this communications approach plays an important role in enhancing the transparency of monetary policy and central bank accountability, which is a key priority for the CBA as an independent public sector institution.

The Board will review and renew the Statement of Long-Run Monetary Policy Objectives during the first decision-making round of each year.

Framework for Monetary Policy as Risk Management

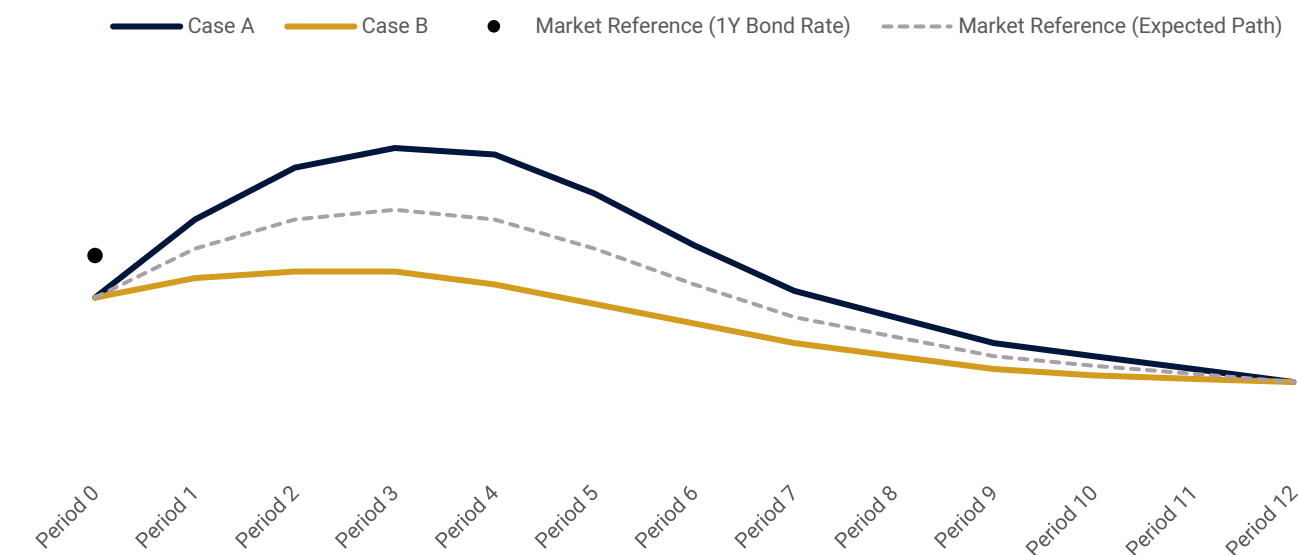
The CBA conducts monetary policy within a risk management framework to analyze and communicate the uncertainty surrounding the economic outlook more effectively. Our approach is to consider alternative scenarios for the evolution of the Armenian economy that have important implications for monetary policy. Elevated uncertainty is a reality that central banks must manage, and we do this by explicitly incorporating it into our framework and communication. We develop and analyze multiple scenarios that would imply a higher or lower path for interest rates than is currently priced in financial markets. At the same time, to steer the policy discussion and communication, we develop two or more illustrative scenarios. These scenarios should not be interpreted as pure risk scenarios, but are meant to represent plausible paths for the policy rate that could be consistent with managing monetary policy risks and concerns in an individual's economic scenario.

Market Reference is the expected path of the policy rate that is currently priced in financial markets. Ideally, if financial markets in Armenia were more developed, and there existed a derivative market for the policy rate, then we could construct an expected path based solely on market information. We therefore use the 1-year government bond yield, which should reflect the expected average policy rate over the next 12 months, plus some compensation for term premium. In addition, we conduct high-frequency surveys of market participants before, during, and following each decision-making cycle as another reference point for expectations of the policy rate.

Case A reflects a scenario that incorporates economic and financial developments that would require a higher interest rate path than what is currently priced in financial markets that is consistent with guiding the economy back to its long-run equilibrium and to achieve price stability objective.

Case B reflects a scenario that incorporates economic and financial developments that would require a lower interest rate path than what is currently priced in financial markets that is consistent with guiding the economy back to its long-run equilibrium and to achieve price stability objective.

Figure 2.1: Alternative Paths for the Policy Rate



Source: CBA

Note: For Illustrative Purposes Only

To learn more about the Central Bank of Armenia's approach to monetary policy, refer to the draft book, [Prudent Risk Management Approach to Monetary Policy: Theory and Practice of FPAS Mark II at the Central Bank of Armenia](#), edited by Douglas Laxton, Martin Galstyan, and Vahe Avagyan (2024).

Report Structure

The MPR begins with the Executive Summary, which provides the Statement by the Board of the CBA as well as a high-level assessment of economic conditions and underlying forces. The Executive Summary is also issued as a standalone document, known as the Executive Monetary Policy Statement.

Section III presents in greater detail the CBA's implementation of this policymaking framework. It begins with an assessment of the first two ingredients essential for economic analysis: where is the economy now, and what are the underlying forces driving the economy. This section also communicates how the CBA is managing current risks through a framework of "least regrets." This includes a taxonomy of different types of scenarios that may be relevant in the current policy round, reflecting a summary of the universe of major issues the Board and Staff of the CBA, as well as external stakeholders, are concerned about. Against this context, the MPR presents two or more illustrative case scenarios representing what the CBA will do with its policy instruments in order to reach its objectives.

The statistical appendix is published as a separate file, known as the MPR Chart Pack, which contains charts and tables for relevant economic variables, as well as key projections from the illustrative case scenarios.

Importantly, the MPR of the CBA is published on the same day as the policy decision is made by the Board of the CBA. This is intended to provide the public with sufficient detail and narratives that describe the framework and analysis that led to the decision in a near-real-time manner. Following the decision and press conference, a separate Transparency Report is released, containing more detailed information about how the Board came to the specific decision during the Board meeting.

Disclaimer

The information presented in this report is based on actual data available by March 14, 2025 as well as the results of the surveys conducted by the CBA and judgments made pursuant to the information on future developments of the macroeconomic environment.

The Monetary Policy Report serves as the chief monetary policy communications vehicle for the Central Bank of Armenia, and is published on a quarterly basis. The MPR has been designed to be a user-friendly document that covers key policy-relevant issues but remains accessible to technical and non-technical audiences alike. The report is structured to follow a narrative format that helps illustrate the key issues, risks, and uncertainties that drove the Board's thinking in the current decision-making round and how it arrived at its policy decision. Not all data, analysis, or issues can be reasonably included in the MPR in every quarter without overwhelming the reader or overshadowing key messages. For this reason, the MPR is supplemented with a Chart Pack that provides a complete and comprehensive overview of the current and underlying economic environment.

A decision made by the CBA Board today will affect inflation with a lag. The illustrative scenarios are chosen and designed by our Monetary Policy Department's economists to describe plausible paths of the economy under different risks. Importantly, the selected illustrative scenarios are two of many possible scenarios that the Board considers when making its decisions, which are represented in the Taxonomy of Scenarios in Section III. During each policymaking cycle, the Board is engaged in dynamic discussions and information-sharing with the Staff related to understanding the current position of the economy, its underlying drivers, and key sources of policy-relevant risk and uncertainty. These discussions, including the process through which the Taxonomy of Scenarios is developed and the illustrative scenarios are selected and quantified, are an important input for Board deliberations. The Taxonomy of Scenarios and the selected illustrative scenarios are produced four times a year and are a key, but not the only, input to the CBA Board's monetary policy decisions.

All monetary policy reports which have been published to date are available on the CBA's website (www.cba.am), which also contains all press releases, working papers, and other monetary policy-related publications.



03 |

Monetary Policy Outlook

A. Global Economic Developments

United States Economy

The economic outlook in the United States has become increasingly uncertain. While economic growth, primarily driven by domestic consumption, remains robust, there are emerging signs of a sharp slowdown in both domestic demand and overall economic expansion. In Q4 2024, growth remained strong at 2.5%, exceeding its estimated potential. Consumption—particularly in the services sector—has been the key driver of economic momentum. Despite some recent moderation, wage growth remains elevated, while high asset prices continue to help sustain the substantial wealth accumulated by households in recent years.

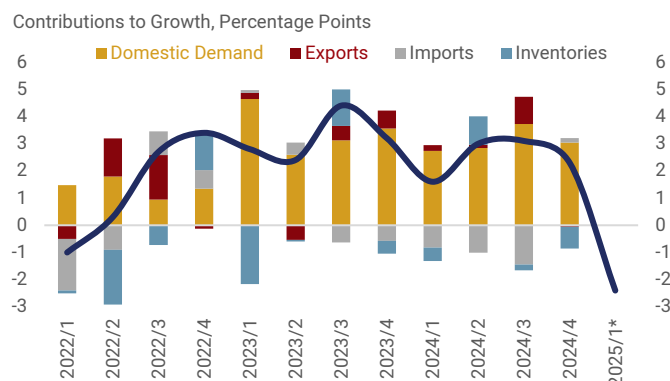
Against this backdrop, inflationary pressures in the U.S. remain persistent, with price increases particularly pronounced in the services sector. While inflationary pressures have been gradually easing, key indicators of core inflation—particularly sticky prices—remain well above target. This poses the risk of inflation expectations remaining above the target level. At the same time, uncertainty persists regarding labor market conditions. Several indicators suggest that labor market tightness has increased compared to the previous quarter, with job growth accelerating while the ratio of job openings and layoffs per unemployed worker has declined. Meanwhile, the unemployment rate edged down in first quarter reaching 4.1% in February.

The prospect of a more accommodative fiscal stance could support future consumption growth above the economy's potential output. In the medium term, this could also lead to an increase in public debt and long-term interest rates. At the same time, the ongoing and anticipated tightening of trade and migration policies—despite their expected short-term drag on economic growth (see Box 1)—introduces significant risks of further inflationary pressures. Considering that inflation has remained persistently above target for an extended period, the Federal Reserve may face new challenges in managing policy trade-offs between maintaining price stability and achieving maximum employment.

On the other hand, the persistence of high uncertainties regarding economic, especially trade policy, in the US may lead to a sustained decline in consumer confidence, sharply curbing consumer and investment activity in the US. Under these conditions, a decrease in the prices of relatively riskier assets could further reduce wealth and weaken demand, thereby accelerating the decline in inflation. The main challenges for monetary policy are managing “last mile” efforts to bring inflation back to target and the risks of an undesirable, sharp weakening of demand in an environment of high uncertainty. Amid such uncertainty, financial markets assess that the US Federal Reserve will pursue a policy of slightly faster easing of monetary conditions compared to previous expectations.

Consumption remains the primary driver of economic growth, well above estimates of potential growth

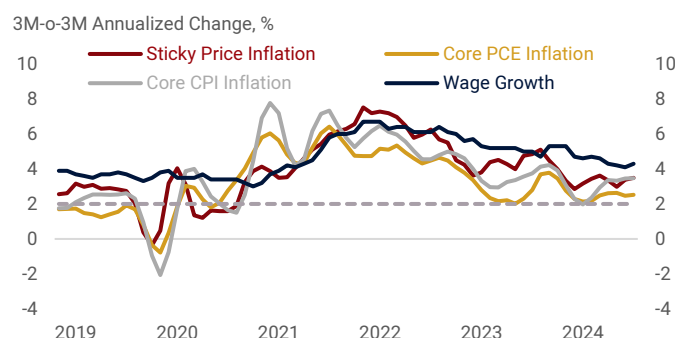
Figure 3.A.1: Contributions to US Real GDP Growth



Source: Bureau of Economic Analysis (BEA), Federal Reserve Bank of Atlanta

The Federal Reserve continues to face the critical challenge of sustainably aligning inflation with its target.

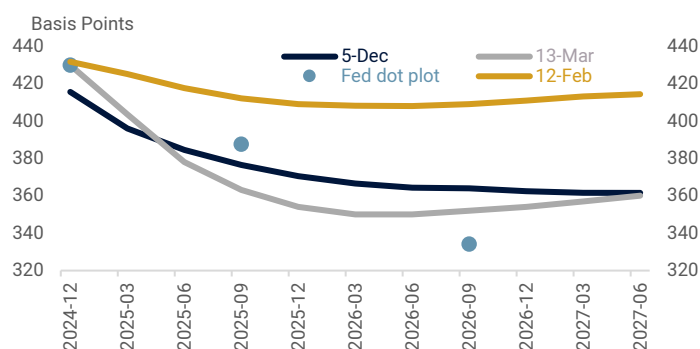
Figure 3.A.2: Underlying Inflation Measures, US



Source: BLS; BEA; Atlanta Fed

Financial market participants in the U.S. believe that the Federal Reserve will implement a more rapid approach to easing monetary policy.

Figure 3.A.3: Market Expectations of FED Funds Rate Path



Source: Atlanta FED, Federal Reserve Board

Box 1. The Impact of U.S. Tariff Policy

In recent decades, with the liberalization of capital and labor flows and the growth in their volumes, the degree of interconnection between most open economies—especially large industrialized nations—has increased, primarily driven by the mutual need to procure raw materials. Furthermore, certain raw materials are exclusively available in countries rich in these resources or specialized in their production, thereby heightening dependence on these nations for the manufacturing of specific goods. Under such conditions, international trade relationships have developed around the principles of efficiency and comparative advantage, taking into account factors such as the availability of trade routes, transportation costs, raw material prices and quality, customs policies, and other considerations. Any transformation of these variables can lead to disruptions in global supply chains, resulting in shifts not only in the prices of raw materials but also in trade dynamics. In such instances, markets tend to adjust these shifts on the basis of efficiency. As a consequence, disruptions in supply chains can render international trade less efficient, resulting in more challenging access to trade routes, higher raw material and transportation costs, and, ultimately, an increase in the prices of final goods.

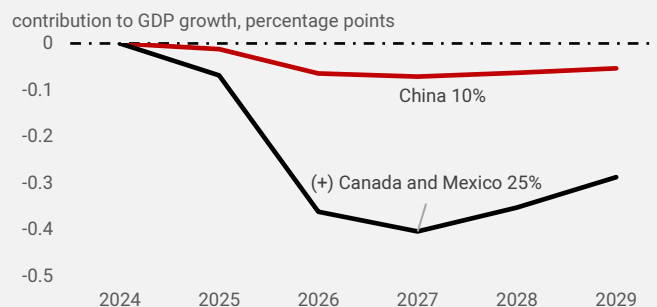
These risks are notably present within the U.S. economy, owing to the economic and trade policies outlined and partially being implemented by the new administration. Specifically, the administration has aimed to overhaul U.S. trade policy in his second term to achieve a variety of economic and non-economic objectives. On February 1, tariffs were imposed on imports from Canada, Mexico, and China—three of the United States' largest trading partners. On February 3, a 10% tariff was introduced on all goods imported from China, leading to retaliatory tariffs on a group of U.S. imports from China. On March 4, a 25% tariff on goods from Canada and Mexico, delayed by one month, took effect alongside an additional 10% tariff on China. However, shortly thereafter, certain tariffs on goods imported from Mexico and Canada were partially rescinded and postponed. Other measures also imposed a 25% tariff on steel and aluminum imports, aiming to bolster domestic production. Additionally, the administration has indicated the possibility of imposing tariffs on imports from the European Union and on specific product categories.

In such a scenario, deeper risks are also likely, primarily due to the short timeframe required for markets to rebalance. This could amplify the negative consequences stemming from disruptions in supply chains. Additionally, the imposition of tariffs not only increases the price of goods imported from these countries but also drives up the prices of similar or substitute goods in the domestic economy. This occurs due to shifts in market competition, heightened demand for domestic production, and the limited capacity to expand production in the short term. Moreover, negative signals are already emerging regarding rising inflation expectations, exacerbated by U.S. trade policy, which has already been contributing to higher inflation in recent years.

While uncertainty persists regarding the future trajectory of U.S. tariff policy, consistent implementation of the proposed measures would likely result in primarily downside risks for economic activity and upside risks to inflation in both the U.S. economy and other leading and emerging markets. These risks would stem from the disruption of international supply chains and the broader consequences that follow, some of which are already reflected in financial markets. On the other hand, the frequent and sharp changes in U.S. trade policy contribute to significant uncertainties for consumers and businesses, which poses risks for reduced private consumption and investment (See Scenario B).

Trade war could negatively impact US economic growth

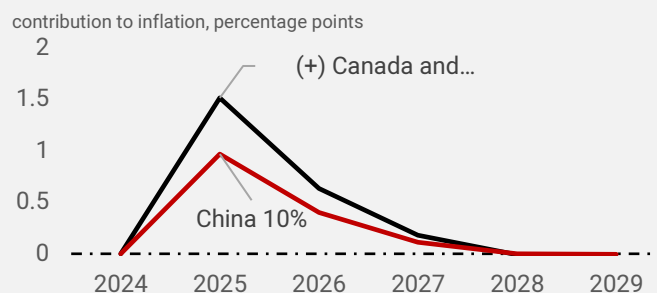
Figure B.1.1. The potential impact of various developments in U.S. tariff policy on U.S. GDP



Source: Central Bank of Armenia

Imposing tariffs would further increase inflationary pressures in the US economy

Figure B.1.2. The potential impact of various developments in U.S. tariff policy on U.S. Inflation



Source: Central Bank of Armenia

Tariff policy could impact over 40% of US imports

Table B.2.1. The United States' largest import partners, 2024

Country	bln usd	share in gross imports, %	share in GDP, %
Mexico	505,9	15,5	1,7
China	438,9	13,4	1,5
Canada	412,7	12,6	1,4
Germany	160,4	4,9	0,5
Japan	148,2	4,5	0,5

Source: BEA

Eurozone Economy

Uncertainties persist regarding the Eurozone's medium-term economic growth prospects. Economic growth remains weak, with a growth rate of 0.2% recorded in the fourth quarter (Figure 3.A.4), largely due to the decline observed in the largest economies. It is important to note that the weak economic growth in the Eurozone remains largely driven by deep, structural issues in the industrial sector, while the services sector, supported largely by external demand, continues to demonstrate relative resilience. In this context, despite low growth, the imbalances between aggregate demand and supply in the economy are still persisting, contributing to the maintenance of high inflation in certain sectors.

In the Eurozone, PMI indicators show that recent growth has been primarily driven by the services sector (Figure 3.A.5). The continued growth of real disposable incomes and high levels of savings pose risks of a potential acceleration in consumption, which could become the driving force behind growth, particularly in services.

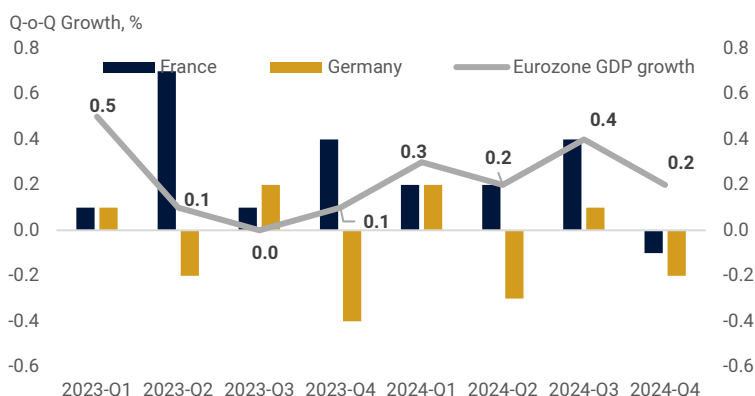
On the other hand, the industrial sector, especially manufacturing, continues to face structural weaknesses. In this context, the potential tightening of U.S. trade policy towards the Eurozone, combined with the expected further weakening of domestic demand in China, could present additional significant challenges to the recovery of this sector. Moreover, U.S. tariffs on certain major economies may worsen problems in the Eurozone's manufacturing sector by increasing competition both within the Eurozone and in third-country markets. Nevertheless, it should also be noted that, in the context of current geopolitical developments, a significant potential increase in military spending by the Eurozone could provide a strong boost to the recovery and revitalization of industry, particularly in certain sectors. There are also indications of substantial increases in public investments in infrastructure projects in specific economies, such as Germany.

In recent months, inflation in the Eurozone has accelerated somewhat, returning to levels above the target. In February 2025, Y-o-Y inflation stood at 2.4%, while core inflation indicators, particularly services inflation, remain at persistently high levels, standing at 3.7% year-on-year (Figure 3.A.6). The still-tight labor market, which saw unemployment decline to a historical low of 6.2% in January, continues to transmit inflationary pressures and remains a key source of upside risk moving forward.

It should be noted, although the ECB continued to reduce its policy rate in March 2025, the uncertainty around the policy trajectory remains, especially given the need to manage stagflationary risks, given both inflationary effects stemming from the tight labor market and a weakening global growth outlook.

Economic growth in the Eurozone remains at a weak level, driven by a decline in activity in major industrial economies.

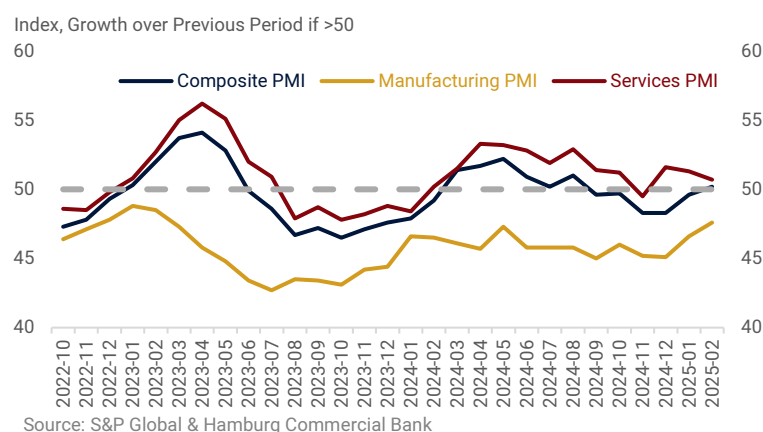
Figure 3.A.4: Real GDP growth of the Eurozone and major economies



Source: Eurostat, European Commission

The services sector remains the primary driver of economic growth, while the manufacturing industry continues to face structural weaknesses.

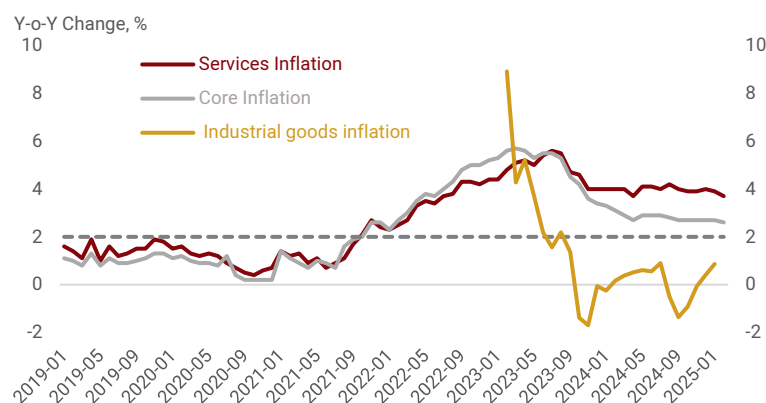
Figure 3.A.5: Composite Purchasing Managers Index (PMI), Euro Area



Source: S&P Global & Hamburg Commercial Bank

Mixed signals from core inflation indicators give rise to varying interpretations about the state of the economy.

Figure 3.A.6: Underlying Inflation Measures, Euro Area



Source: Eurostat

Russian Economy

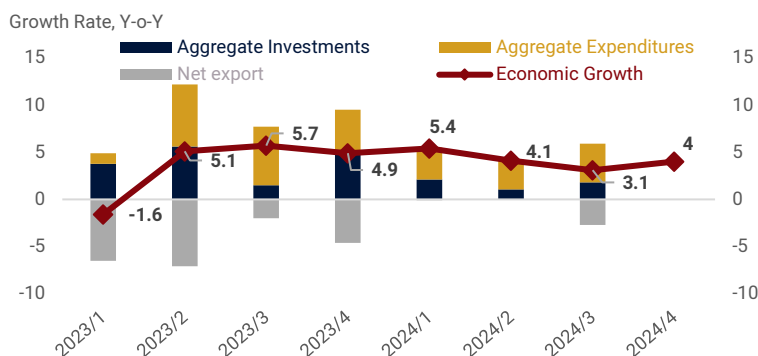
In Russia, uncertainties surrounding the economic outlook have significantly increased due to the gradual developments in the resolution of the Russia-Ukraine conflict. In 2024, economic growth in Russia reached 4.1%, reflecting overheated conditions (Figure 3.A.7). In certain sectors of the economy, particularly in industry (especially defense industries), high growth continues to be recorded, driven somewhat by capacity expansion. However, the main driver of growth remains high domestic demand, driven by significant increases in government spending, household incomes, and credit to the economy. Labor market conditions continue to be very tight, with unemployment at a record low (2.3% in December 2024), and real wages growing at a high pace of around 13.0% (Figure 3.A.8). In this context, domestic demand exceeds the economy's production capacity, and the growing competition between the military and other sectors, along with the continued labor shortage, is limiting further expansion of the economy's productive capacity. These forces continue to contribute to the persistence of a high inflation environment.

In conditions of excess demand in the economy, inflation continues to remain at a high level, reaching 9.9% Y-o-Y in January 2025, mainly driven by increases in services and food prices. Inflation expectations have weakened somewhat but remain significantly above the target, reaching 13.7% in January. However, it should also be noted that since the end of 2024, there have been some, modest signs of weakening domestic demand, particularly reflected in a slight slowdown in the pace of credit growth. In this context, the Central Bank of Russia maintained its policy rate at 21% in February 2025. However, a much more expansionary fiscal policy than planned (Figure 3.A.9) continues to hinder the efforts to curb excess demand and control high inflationary pressures through high interest rates.

Geopolitical developments also include signals regarding a potential resolution to the Russia-Ukraine conflict, which could, if realized, lead to upside risks for Russia's short-term and medium-term growth. Expectations for a more positive outcome to the conflict's active phase are already partially reflected in both Russian securities and the ruble exchange rate. However, considerable uncertainty remains regarding the terms of any potential resolution. Additionally, it is important to note that the current appreciation of the ruble is contributing to a moderation in the inflationary environment. At the same time, Russia's economy remains vulnerable to developments in the oil market, where increased volatility and a certain decline in prices are observed, driven by both supply and, particularly, demand factors. On the other hand, the recent imposition of more targeted sanctions by Western countries (especially on Russia's shadow fleet) and their continued tightening pose risks to Russia's medium-term growth prospects.

Domestic demand continues to outstrip capacities to expand production of goods and services

Figure 3.A.7: Contributions to Real GDP Growth, Russia

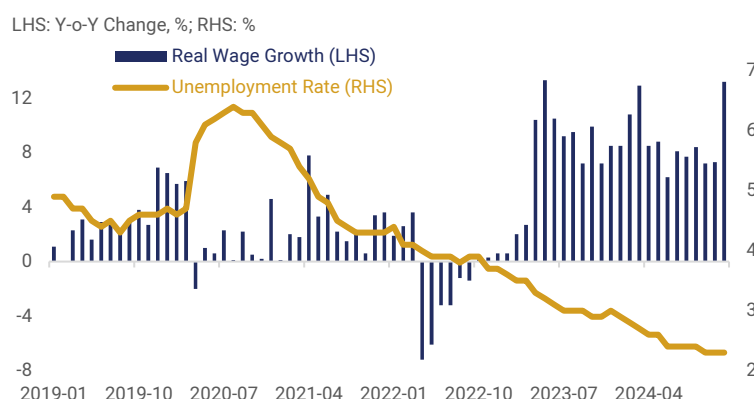


Source: Bank of Russia

Note: Data for 2024Q4 is a preliminary estimate.

Low unemployment and high wage growth reflect a shortage of labor supply, which limits the growth of production capacities

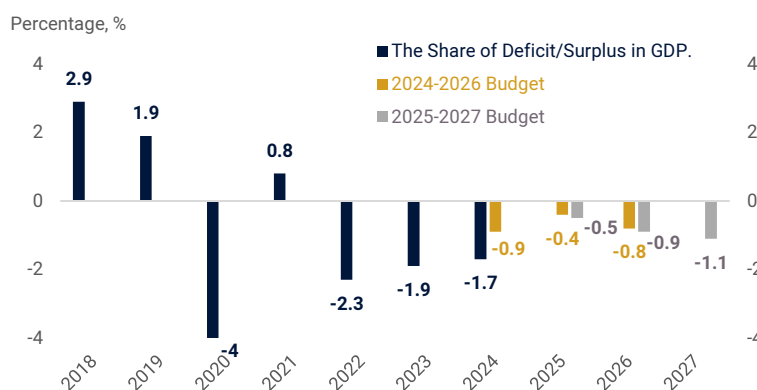
Figure 3.A.8: Unemployment Rate and Real Wage Growth, Russia



Source: Federal State Statistics Service

Given the tightening of sanctions against Russia and the persistence of geopolitical uncertainties, the fiscal policy stance may remain more expansionary than anticipated in the medium term.

Figure 3.A.9: Russia's State Budget Deficit as a percentage of GDP.



Source: Ministry of Finance of Russia

Commodity Markets

Copper: Starting from September 2024, international copper prices increased somewhat due to positive expectations regarding large-scale fiscal and budgetary stimulus measures announced by the Chinese government, which were gradually neutralized. In this context, international copper prices fluctuated in the range of 9,000 to 10,000 USD. Since the beginning of 2025, certain short-term factors, particularly uncertainties around U.S. foreign trade policy, have led to a significant increase in imports by U.S. businesses. Further, expected significant increases in expenditures aimed at strengthening the EU's defense-industrial complex have added additional upward pressure on copper prices, with international copper prices sharply rising to exceed the 10,000 USD threshold (Figure 3.A.10). In this context, the outlook for the global copper market remains highly volatile due to macroeconomic factors and risks specific to various countries and industries. On one hand, the transition to green technologies and the necessity of their use in defense technology continues to drive demand, while on the other hand, increased market regulations, trade barriers, and uncertainties regarding global demand represent significant sources of further risks and uncertainty.

Oil: Global oil prices have continued to exhibit significant volatility in recent months, driven by uncertainties surrounding global economic prospects, geopolitical developments, and global supply (Figure 3.A.11). In one hand, key downside risks include prolonged weak domestic demand in China and the EU, as well as the risks of a sharp decline in domestic demand in the U.S.. Additionally the anticipated gradual easing of self-imposed production restrictions by several major economies within OPEC+ starting from April 2025 (with an overall reduction of up to 2.2 million barrels per day) has already been priced in the energy markets, with a decrease in prices. On the other hand, the potential tightening of sanctions on several oil-producing economies, which were previously imposed, suggests certain upward signals for oil prices. The continued uncertainty in U.S. oil policy remains a risk for further volatility in global oil prices, which is primarily tilted toward a downward direction.

Food: Although international food prices, as reflected in the FAO index, have decreased in recent months, mainly due to high actual or expected crop levels and weak global demand, they stand approximately 7% higher than prices in the same period last year. Furthermore, there has been significant heterogeneity in the prices of individual food items included in the index in recent months, with vegetable oil prices recording a nearly 30% increase, while sugar prices saw a decline of about 20%. Risks surrounding supply chain disruptions, including those related to global geopolitical tensions and trade wars, continue to pose risks for the rise in global food prices and the volatility of food prices imported by Armenia.

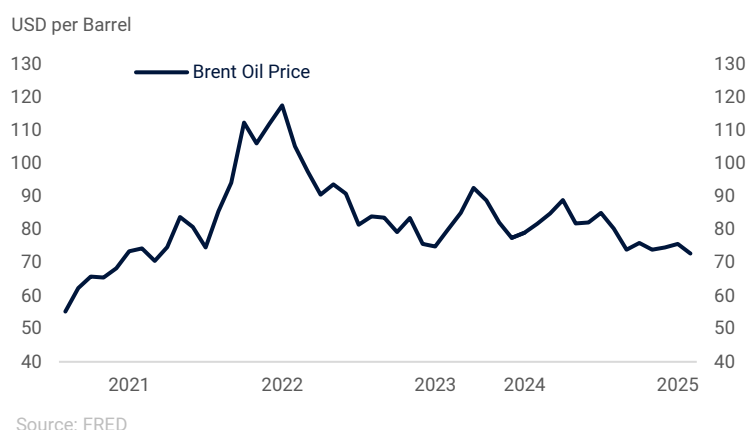
High volatility in global copper prices reflects the significant uncertainty surrounding global demand and economic policies

Figure 3.A.10: Copper Prices



An uncertain outlook for oil prices, amid rising geopolitical tensions, uncertainties surrounding global demand, and potential increases in supply

Figure 3.A.11: Brent Crude Oil Prices



Despite the recent increase in global food prices, price dynamics remain heterogeneous across different commodities.

Figure 3.A.12: Food Price Index of the Food and Agriculture Organization (FAO)

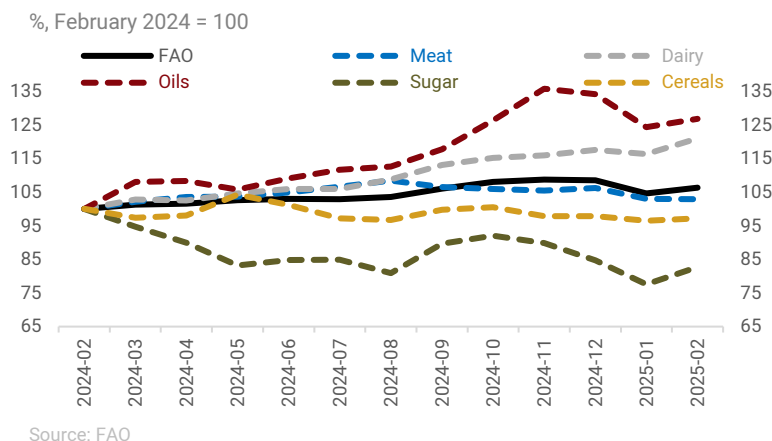


Table 3.A.1: Third-Party Projections for Commodity Prices

Source/Topic Date	Oil (Brent, USD/barrel)			Copper (USD/ton)			World Bank Global Food Price Forecast (Annual Growth)		
	ETIA	WB	Consensus	WB	REQ	Consensus	Oils and Meals	Grains	Other Food
	Feb-25	Oct-24	Mar-25	Oct-24	Sep-24	Mar-24	Oct-24	Oct-24	Oct-24
2025	74	80	73.3	9250	9646	9438	-11.4	-15.2	1.5
2026	66	73	70.5	9300	9702	9700	-3.9	-4.6	-3.7

Source: US Energy Information Administration; World Bank; Australia Resources and Energy Quarterly (REQ); Bloomberg

Table 3.A.2. Third-Party Projections for GDP Growth and Inflation in Key Trading Partner Countries

Source Date	USA					EU						RF				
	IMF**	WB	OECD	Fed	Consensus	IMF**	WB	OECD	EC	ECB	Consensus	IMF**	WB	OECD	CBR	Consensus
	Jan-25	Jan-25	Dec-24	Dec-24	Nov-25	Jan-25	Jan-25	Dec-24	Nov-24	Sept-24	Mar-25	Oct-24	Jun-24	Sept-24	Oct-24	Mar-24
Economic Growth (Y-o-Y, %)																
2024 (F*)			2.8					0.8						4.1		
2025	2.7	2.3	2.4	2.1	2.3	1.0	1.0	1.3	1.3	0.9	0.9	1.4	1.6	1.1	1.6	1.6
2026	2.1	2.0	2.1	2.0	2.0	1.4	1.2	1.5	1.6	1.2	1.2	1.2	1.1	0.9	1.7	1.4
2027	-	-	-	1.9	2.0	-	-	-	-	1.3	1.3	-	-	-	2.0	1.5
Inflation (Y-o-Y, %)																
2024 (F*)			3.0					2.4						8.4		
2025	1.9	-	2.1	2.5	2.8	2.0	-	2.1	2.1	2.3	2.2	5.9	-	7.0	9.2	8.0
2026	2.1	-	2.0	2.1	2.5	2.0	-	2.0	1.9	1.9	1.9	4.0	-	5.2	5.4	5.3
2027	2.1	-	-	2.0	2.8	2.0	-	-	-	2.0	2.0	4.0	-	-	4.3	4.4

Source: IMF; World Bank (WB); OECD; Fed; ECB; CBR; European Commission (EC); Bloomberg

B. Domestic Demand Conditions

Gross Domestic Product

In Q4 2024, economic growth continued to decelerate gradually, reaching 3.7% Y-o-Y, while the overall economic growth for the year was approximately 6%. Growth in the fourth quarter, as in previous quarters, remained primarily driven by expanding demand, supported by relatively strong growth in sectors such as services and construction (Figure 3.B.1). It is important to note that over recent quarters, the pace of economic growth has gradually moderated, converging toward more stable levels. The concentration of growth has also weakened somewhat, but still remains non-broad based in nature. This poses key uncertainties related to assessing the relative state of aggregate demand versus aggregate supply (Figure 3.B.3).

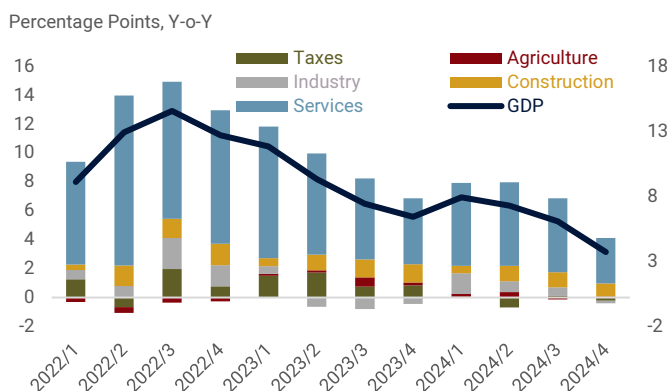
Alongside the weakening of external trade-related flows, recent months have seen a revival in traditional manufacturing sectors, particularly in food and tobacco production, as reflected in growing export volumes. The IT sector continues to face some medium-term headwinds, despite the strong growth recorded in 2024, which was largely technical in nature; developments in employment and wages within the sector show no clear signs of significant capacity expansion. Moreover, the services sector continues to be driven primarily by the trade sector, a dynamic attributable to the accelerated growth of both demand relative to supply and re-export activities. In the construction sector, despite the sustained high growth rates, signs of weakening momentum in the residential construction segment are becoming evident.

The gradual weakening of economic growth also reflects the natural adjustment of external demand. Specifically, after the high growth recorded in 2023, some decrease in tourist flows, as well as in the number of Armenian citizens traveling to Russia for employment and non-commercial flows, has been observed in 2024. On the other hand, depending on the potential resolution of the Russian-Ukrainian conflict, there may be an increase in tourist and non-commercial flows to the RA (see Section F, Scenario A).

In Q1 2025, the output gap is estimated to be largely closed (Figure 3.B.3), though uncertainties regarding estimates remain. On the one hand, strong loan growth and elevated private spending indicate sustained excess demand pressures in the economy. On the other hand, the concentration of this recent growth in a few sectors, slight easing labor market conditions in 2024 (see section C), and the weak inflationary environment could point to weak demand conditions, and even suggest a negative output gap.

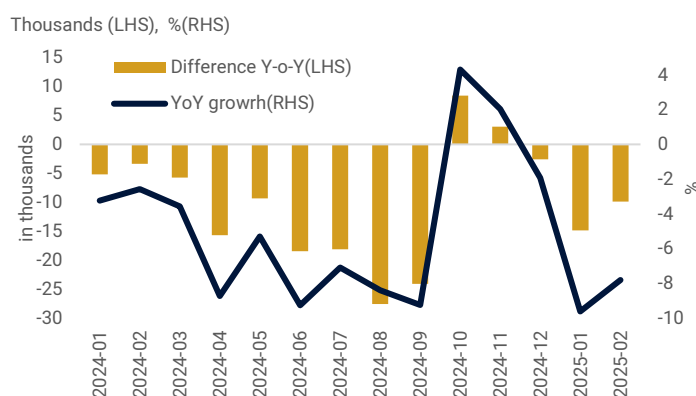
In Recent Quarters, The Pace Of Economic Growth Has Gradually Moderated, Aligning With More Stable And Sustainable Levels

Figure 3.B.1: Contribution to Real GDP Growth by Production Approach



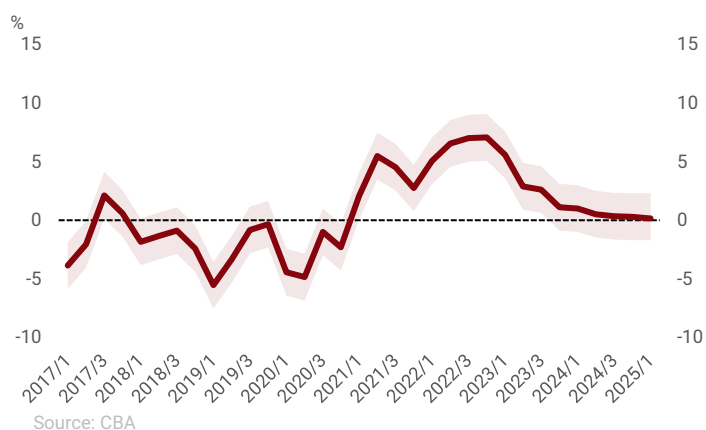
External Demand Continues To Gradually Adjust

Figure 3.B.2: Inbound Tourists Number



Imbalances between Aggregate Demand And Supply Have Gradually Moderated

Figure 3.B.3: The Output Gap



Consumption and Investment

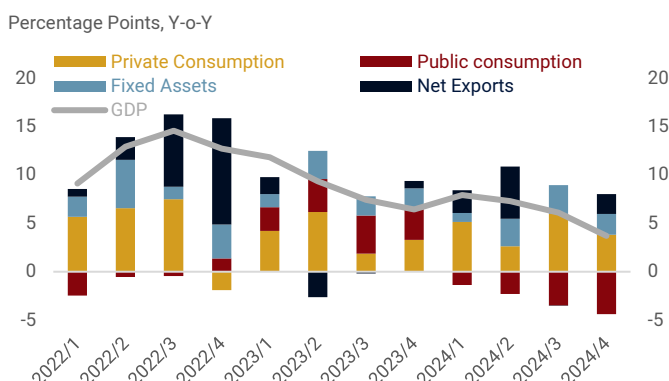
In Q4 2024, aggregate consumption declined slightly Y-o-Y, primarily due to a significant reduction in government spending (Figure 3.B.4). Private consumption, which had been relatively subdued in relation to overall economic growth in the past couple of years, maintained its upward momentum in 2024, achieving a growth rate of 6.9% Y-o-Y in Q4. Aggregate investment growth, which had been largely driven by public investment in H2 2023 and Q1 2024, slowed toward the end of 2024, in line with a notable underperformance in capital expenditures. At the same time, the strong growth of private investments persists, largely supported by sustained high investment activity in real estate sector investments (Figure 3.B.5).

Uncertainties regarding the outlook for domestic demand remain elevated. On the one hand, domestic demand could grow on the back of previously accumulated savings in the private sector, a reduced debt burden, and subsequent potential for credit growth. Such a scenario could fuel further excess demand pressures (particularly if the economy is judged to be already operating at or slightly above potential), increasing the inflationary pressures. On the other hand, non-widespread economic growth, the increase in the unemployment rate (Figure 3.C.1), and slowdown in wage growth (Figure 3.C.4) in the private sector brings about risks of weak demand conditions, which will be reflected in the weak inflationary environment. Moreover, a persistent regional and geopolitical uncertainty could restrain private expenditures in the form of both consumption and investments. This scenario implies aggregate demand being below long-term potential. Uncertainty regarding the scale of the stimulative stance of fiscal policy remains a notable consideration.

Uncertainty regarding the number of Armenian labor migrants in the Russian Federation and the actual volume of remittances flowing into Armenia remains. Although the decline in remittances through the banking system has somewhat moderated, they remain at relatively low levels (Figure 3.B.6). At the same time, alongside these developments, recent observations show a significant increase in the volume of cash ruble exchanges by individuals, which may indicate a change in the nature of financial flows rather than a decrease in the number of labor migrants, due to difficulties in transferring funds through the banking system. This is further supported by the findings from a survey conducted by the Central Bank among seasonal workers and remittance recipients (see Box 2). Meanwhile, uncertainty surrounding Russia's medium-term economic outlook remains significant, posing both downside and upside risks for seasonal migration and remittance flows. However, it is important to note that in recent years, the role of remittances in driving private demand has diminished considerably, given Armenia's strong economic growth and the substantial increase in household incomes.

Given the accumulated savings in the private sector and the relatively low debt burden, the risks of increased private expenditures continue to persist.

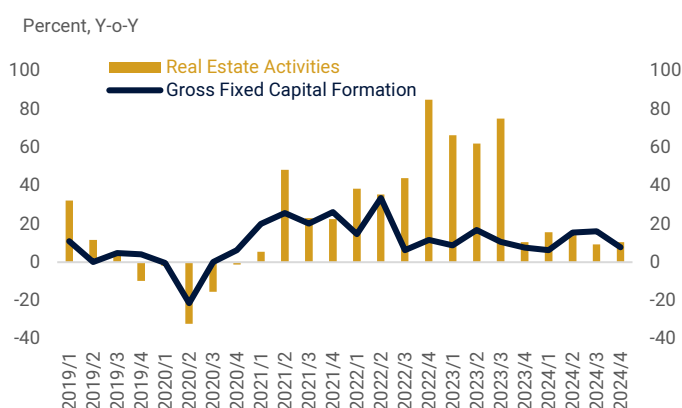
Figure 3.B.4: Contribution to Real GDP Growth by Expenditure Approach



Source: Statistical Committee of the Republic of Armenia; CBA

Despite the slowdown in investment growth rates in the real estate sector, the overall growth of investments in the economy remains positive

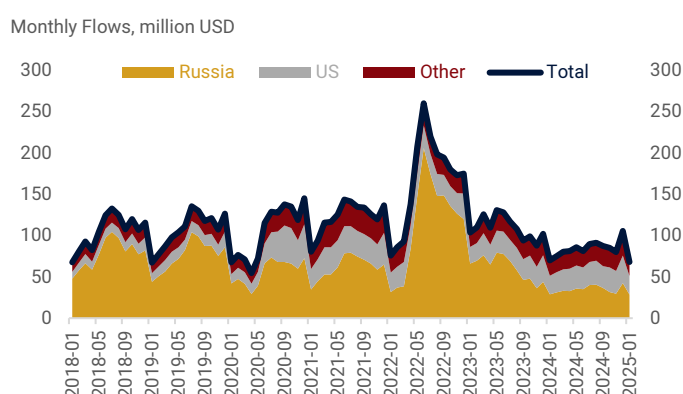
Figure 3.B.5: Growth of Investments in the Economy and the Real Estate Sector



Source: CBA

Remittances Continue to Decline Considerably from 2022 Peaks

Figure 3.B.6: Inflow of Non-Commercial Transfers to Armenia by Source Country



Source: CBA

External Trade and Demand

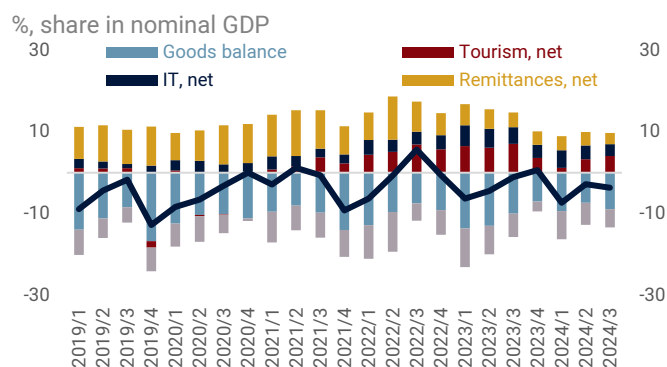
In Q3 2024, the current account continued to deteriorate, approaching its estimated stable levels, driven by the natural adjustment of external demand. This adjustment was primarily reflected in a decline in tourist inflows from the Russian Federation to Armenia, a reduction in average spending per tourist, as well as a gradual decrease in external trade flows. (Figure 3.B.7). However, risks to the further stability of these trade flows remain significant, particularly given the heightened geopolitical uncertainty.

Notably, the year-on-year decline in total imports has been driven by a nearly 40% drop in the import of intermediate consumption goods, reflecting a significant weakening of temporary external trade flows. Meanwhile, demand for final goods has increased by approximately 50% year-on-year, supported by sustained high credit growth and the strong level of accumulated savings in recent years. It is also worth noting that the growth in capital goods imports, both compared to the previous quarter and the same period of the previous year, aligns with the current momentum in the revival of traditional manufacturing sectors. Nevertheless, demand for investment goods remains restrained, influenced by heightened regional geopolitical uncertainty and the completion of certain investment projects.

After appreciating somewhat in Q4 2024, the real effective exchange rate (REER) depreciated slightly in Q1 2025, primarily driven by the nominal appreciation of the Russian ruble. This reflects improved market sentiment regarding Russia's economic outlook following recent geopolitical developments. The key uncertainties relate to the cyclically appreciated real exchange rate in the context of stabilizing external imbalances and absorbing excess demand. Elevated external demand since 2022 amid geopolitical developments in Eurasia, capital and labor inflows, high tourist inflows and export of highly productive IT services have contributed to a significant appreciation of the REER in the economy (Figure 3.B.8), meanwhile, weak inflation in Armenia relative to partner countries since 2023 has contributed to moderating the pace of REER appreciation. If REER appreciation were to prove to be cyclical, its parallel adjustment would inevitably be reflected in a sharp adjustment of the current account deficit, following the aggregate demand correction process. On the other hand, it may be that current levels of external demand reflect new opportunities that would permanently support export potential (especially of services), driving fundamental (rather than cyclical) REER appreciation.

Due to the Gradual Adjustment of External Demand, the Current Account Has Deteriorated, Approaching Its Estimated Fundamental Level.

Figure 3.B.7: Current Account

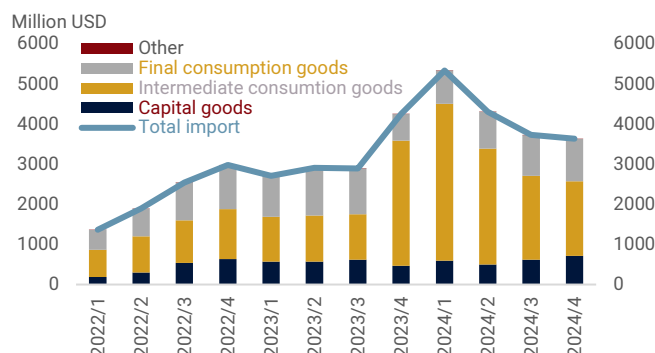


Source: Statistical Committee of the Republic of Armenia; CBA

Note: The adjustment of GDP for 2024, due to the revision of the IT sector's output, has been reflected in the demand-driven components of GDP expenditure, which have not yet been captured in the current account.

Demand for Consumer and Investment Goods Shows Weak Improvement

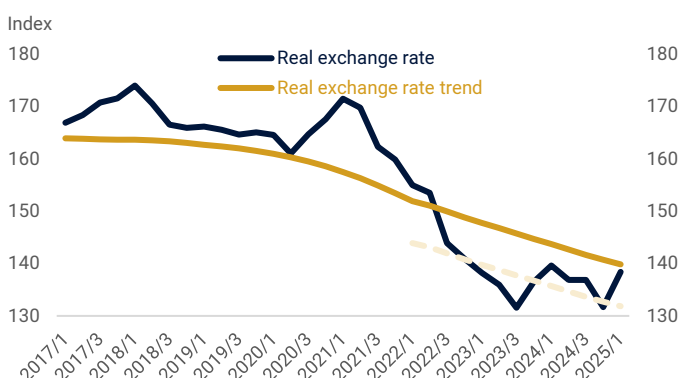
Figure 3.B.8: Value of Imports by Armenia by Broad Economic Category (BEC)



Source: Statistical Committee of the Republic of Armenia; CBA

The Slight Depreciation of The Real Exchange Rate Indicates A Reduction In External Imbalances; However, Uncertainty Regarding The Cyclical Position Of The Real Exchange Rate Persists

Figure 3.B.9: Real Effective Exchange Rate and Trend for AMD against USD, EUR and RUB (Lower Value means Stronger Dram)



Source: CB

Fiscal Policy

In 2024, state budget tax revenues fell short of expectations, reaching approximately 91.5% of the revised annual target. This shortfall was primarily driven by the structural composition of economic growth. Consequently, the tax revenue-to-GDP ratio stood at 23.6%, below the planned 24.3%, resulting in a less contractionary fiscal impulse than initially projected. Simultaneously, state budget expenditures were also significantly under-executed, reaching only 90.2% of the annual target. Capital expenditures particularly underperformed, amounting to just 69.1% of the planned level, or 4.8% of GDP, compared to the targeted 7.5%. As a result, fiscal policy exerted a stimulating effect on aggregate demand than throughout the year.

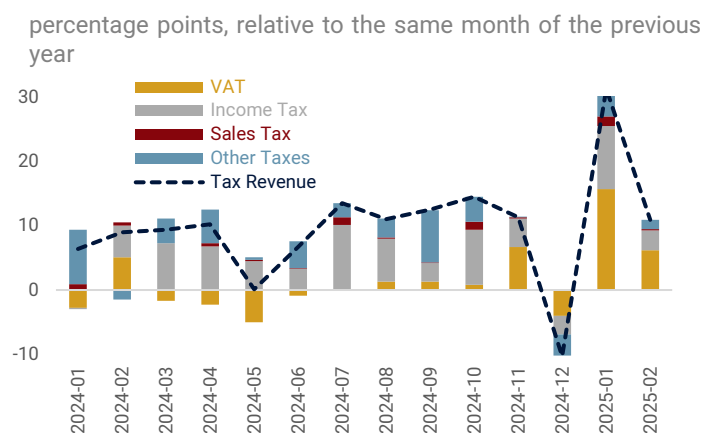
Given last year's weak tax revenue performance and, in that context, the fact that the actual tax revenue-to-GDP ratio was significantly lower than expected, as well as the presence of certain likely temporary and technical factors in the high tax revenues of the current year (Figure 3.B.10), there are certain risks of revenue underperformance in the current year. Should revenues underperform, the fiscal policy stance may turn more expansionary than initially anticipated, potentially exerting a stronger impact on aggregate demand (Figure 3.B.11, Scenario 1).

In the previous year, the combined underperformance of state budget revenues and expenditures resulted in a lower-than-anticipated budget deficit and, consequently, a reduced government debt level. The budget deficit stood at 3.2% of GDP, while government debt amounted to 48.4% of GDP, both below the levels stipulated in the state budget law. The significant shortfall in capital expenditures had mixed implications. On the one hand, significant underspending on capital expenditures reduces the public debt burden and may lower the risk premium, potentially having a mild deflationary effect in the short term. On the other hand, it also poses risks in the medium term to the expansion of the economy's potential. Moreover, while capital expenditures planned for the current year are considerably higher—targeted at approximately 7% of GDP—their composition has shifted, with a reduced share allocated to expenditures that directly stimulate domestic demand. In this context, risks emerge from both the economy's capacity to absorb such a large volume of capital investment (Figure 3.B.11, Scenario 2) and, under these conditions, the possibility of a weaker impact on domestic demand due to structural factors (Figure 3.B.11, Scenario 3).

Over the medium term horizon, in order to finance the budget deficit, there are certain risks of a stricter tax administration and tighter tax legislation policies, which can have an additional negative impact on aggregate demand.

The strong growth in tax revenues this year was largely driven by significant increases in value-added and income tax collections.

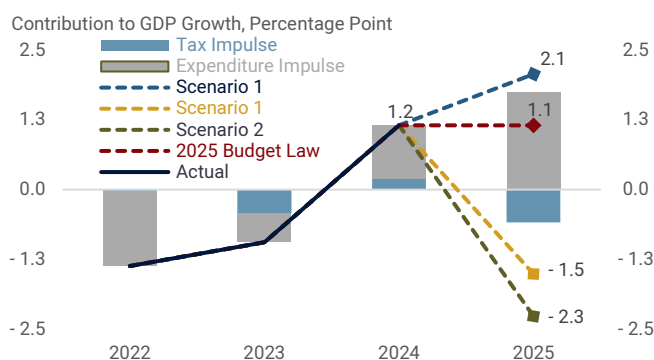
Figure 3.B.10. Contribution of Individual Tax Types to Tax Revenue Growth



Source: RA Ministry of Finance, RA State Revenue Committee, Central Bank of Armenia Calculations

Inflationary Impacts of Fiscal Policy are Relatively Muted, though Inflationary Risks Could Stem from Revenue Underperformance, Underspensing of Capital Expenditures, and/or Reserve Fund Drawdown, as well as Possible Increase in Public Debt

Figure 3.B.10: Fiscal Impulse and Scenarios for 2025



Source: Ministry of Finance; CBA calculations

Box 2. Summary of the Survey on Seasonal Workers and Remittance Inflows

Between October 2024 and January 2025, the Statistics Department of the Central Bank of Armenia conducted a statistical survey to assess labor migration trends and remittance dynamics. The survey focused on two key questions:

1. Whether the number of individuals departing for seasonal employment abroad has declined.
2. Whether the share of cash-based transfers within remittances sent by migrants has increased.

To obtain answers to the above questions, a phone survey of households was conducted. Approximately 7,000 calls were made, with 4,141 respondents agreeing to participate. Among the responses, around 68% indicated that their households did not include seasonal workers or receive remittances from abroad.

The survey results indicate that there has been no significant change in the number of individuals leaving for seasonal work over the past two years. At the same time, among respondents who chose not to migrate for work in 2024, the primary reasons cited were employment opportunities in Armenia (38%) and economic and political conditions in the Russian Federation (20%). Regarding plans for labor migration in 2025, a high degree of uncertainty was observed among respondents, as nearly 40% were unable to provide a definitive answer.

The response to the question regarding the share of remittances received in cash can be divided into two parts. Specifically, in the case of funds received from seasonal workers, the share of cash brought back during 2023–2024 has increased slightly compared to the coefficients used in the compilation of external sector statistics. It is important to note that this group has traditionally carried a portion of their earnings in cash when returning from seasonal work abroad, and this trend has been confirmed by the current survey results. As a methodological consideration, it is important to note that the survey was conducted within a limited scope and did not incorporate detailed validation questions. Therefore, the reported increase in the share of cash-based remittances may be subject to a slight upward bias. Nevertheless, considering potential deviations, the survey results indicate that cash remittances increased in 2024.

Regarding the composition of remittances received from relatives or friends, the share of cash transfers continues to remain at a low level.

There Has Been No Significant Change in The Number of Individuals Leaving For Seasonal Work Over The Past Two Years

Table B.2.1. Results of the Survey on Seasonal Workers and Remittance Recipients

2023-2024		Have you received financial remittances from relatives or friends living abroad in the past two years?		In Total
		Yes	No	
Have you or any member of your household gone abroad for seasonal work in the past two years?	Yes	59	300	359
	No	968	2814	3782
In Total		1027	3114	4141

Source: CBA

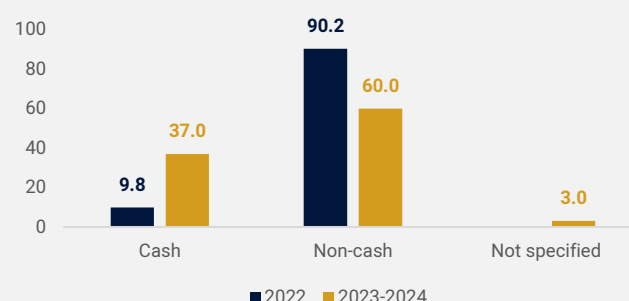
There Is A High Level of Uncertainty Among The Respondents Regarding Their Decision to Migrate For Work in 2025.

Table B.2.2. Survey on Labor Migration

Are you planning to go abroad for seasonal work in 2025?	Please indicate when you went abroad for seasonal work.				
	2023 and 2024	Only 2023	Only 2024	Not specified	In Total
Yes	36%	12%	16%	33%	28%
No	21%	52%	33%	0%	28%
I find it difficult to answer	40%	32%	44%	33%	39%
Not specified	3%	5%	7%	33%	4%
In Total	100%	100%	100%	100%	100%

Source: CBA

Figure B.2.1. Methods of money transfer by seasonal workers



C. Labor Market and Inflation

Labor Supply and Demand

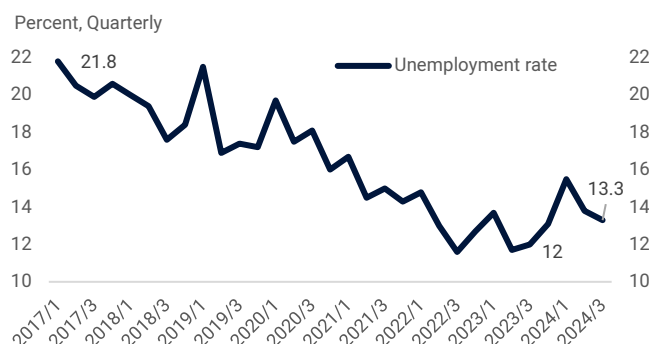
The unemployment rate (per SCRA household surveys) decreased slightly from the previous quarter, standing at 13.3% in Q3 2024 (Figure 3.C.1), but increased by 1.3 p.p. Y-o-Y, reflecting a gradual weakening of labor market conditions. While there was an observed increase in the working age population in RA during the same period, the majority of these individuals were classified as part of the economically inactive population. Hence, the uptick in unemployment rate is more a consequence of the increase in the number of unemployed rather than the increase in labor supply. Additionally, in 2024, there was a noticeable outflow of foreign labor, which may also reflect a weakening of labor market conditions. On the other hand, the number of registered employees (per State Revenue Committee data), meanwhile, has continued to increase during Q3 2024, which could be interpreted as reflecting sufficient labor demand in the market, and could signal uncertainties about labor market conditions, as surveys and data from businesses provided mixed signals about labor market developments. An increase in the number of registered workers may also reflect structural changes within the economy, specifically the reallocation of labor from the informal to the formal sector.

The main uncertainties regarding the labor market outlook surround the scale and pace of the integration of forcibly displaced persons from Artsakh; as well as the flows of Armenian labor migrants to Russia and their participation in the domestic labor market. The integration of displaced persons from Artsakh in the economy could have positive impact on labor supply and potential growth. However, considering that the significant increase in labor resources in the third quarter was not accompanied by a substantial rise in labor supply, key uncertainties remain regarding the pace of integrating non-active segments of the population into the labor market.

There is also considerable uncertainty regarding the flow of labor migrants to Russia. In recent years, the wage gap between Armenia and Russia has narrowed, making seasonal labor migration to Russia less attractive. Additionally, risks related to the growth prospects of the Russian economy continue to be substantial. In this context, the volume of labor migration to Russia may decrease, which could contribute positively to the expansion of the labor supply and, in turn, slightly enhance the potential output of Armenia's economy. On the other hand, the recent appreciation of the ruble, along with positive signals regarding a possible resolution of the Russia-Ukraine conflict, could instead support the recovery of seasonal migration (see Section 3.F). Another important factor contributing to the reduction in seasonal migration to Russia could be the tightening of migration regulations by the Russian Federation, which may also positively impact the expansion of labor supply in Armenia. In this context, surveys conducted by the Central Bank among seasonal workers further highlight the importance of economic and political factors, while also reflecting significant uncertainty regarding the decision to migrate for work in the near term.

Gradual Easing in the Labor Market Supports the Softening in Wage Pressures

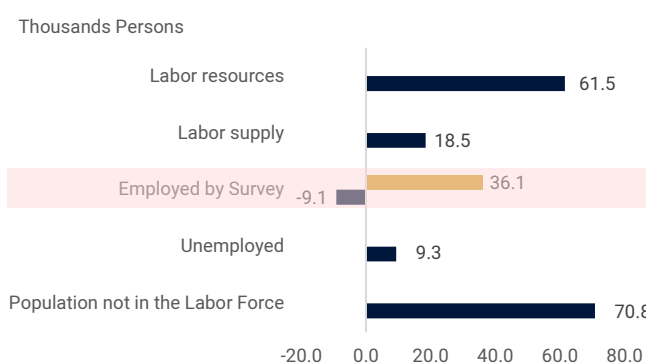
Figure 3.C.1: Unemployment Rate



Source: Statistical Committee of the Republic of Armenia

The Substantial Increase in Labor Resources Raises Uncertainties About The Pace of Their Integration Into The Labor Market.

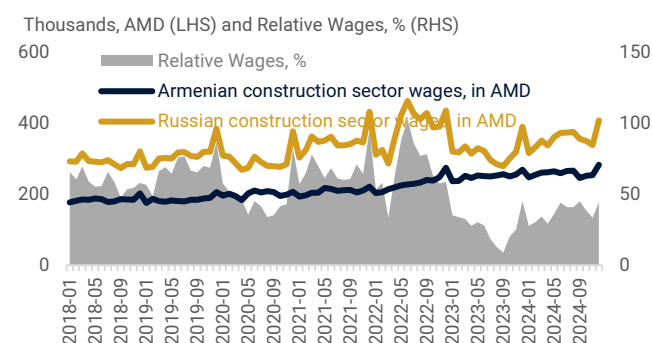
Figure 3.C.2: The Change in RA Labor Resources, 2024Q3/2023Q3



Source: Statistical Committee of the Republic of Armenia; CBA

Sustained Narrowing of Gap Between Construction Wages in Armenia And Russia Could Impact Flows of Seasonal Migrant Workers From Armenia to Russia

Figure 3.C.3: Construction Wages in Russia and Armenia



Source: Federal State Statistics Service of RF; Statistical Committee of the Republic of Armenia; CBA

Wage Growth

After the high growth recorded in recent years, private nominal wage growth continued to decelerate in 2024 Q4, reaching 5.8% y/y (Figure 3.C.4). The increase in productivity, labor supply, and employment in recent quarters, along with a slight decline in labor demand since the beginning of the year, has further eased inflationary pressures from the labor market. Due to the concentration of economic growth, labor market signals remain highly uneven. In particular, wage growth is significantly driven by increases in the financial and insurance sectors, as well as, more recently, the manufacturing industry. In January of the current year, nominal wage growth slowed to 3.6% Y-o-Y, with around 1.2 p.p. of this increase were driven by the financial and insurance sectors, while another 1.2 p.p. came from the manufacturing industry. Excluding the financial and insurance sectors, nominal wage growth in the private sector stood at around 2.7% in January. The uneven distribution of wage growth across various sectors and the continuous adjustments in others suggest a notable reduction or neutralization of labor market pressures. Additionally, a potential increase in labor supply could further ease labor market conditions and reduce market-driven inflationary pressures in the medium to long term.

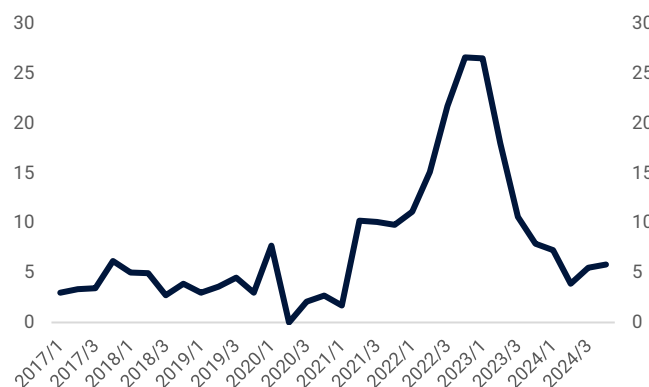
Inflation

In Q1 2025, the low inflation environment persists. The 12-month inflation accelerated in February, reaching 2.5%, primarily driven by the rise in prices of seasonal food products. Inflation in regulated services has also increased to some extent, reflecting both the seasonal rise in utility service costs and the upward adjustment of waste collection tariffs. Higher prices of imported food products, as well as rising costs in non-regulated services, have also contributed to the increase in inflation. However, in line with the global downward price trends observed in January, a slight weakening in prices of certain imported food products has been recorded. On the other hand, inflation in non-regulated services, particularly in air transportation, has increased, largely driven by both rising international prices for air transport and fuel, as well as growing domestic demand for outbound tourism.

Nevertheless, the persistence of a subdued inflationary environment in the overall economy remains largely driven by the deflationary effects transmitted from the global economy for certain non-food product categories, some easing in labor market conditions, as well as a significant reduction in aggregate supply and demand imbalances. The weakening trend in services inflation continues, primarily due to the ongoing adjustment in external demand. However, the sustained high level of domestic demand may create some inflationary pressures. In this context, uncertainty regarding the relative position of aggregate supply and demand in the economy persists.

Increases in Labor Supply Driven by Labor Resource Expansion Could Contribute to Weakening Inflationary Pressures, though Signals from the Labor Market are Somewhat Incongruous

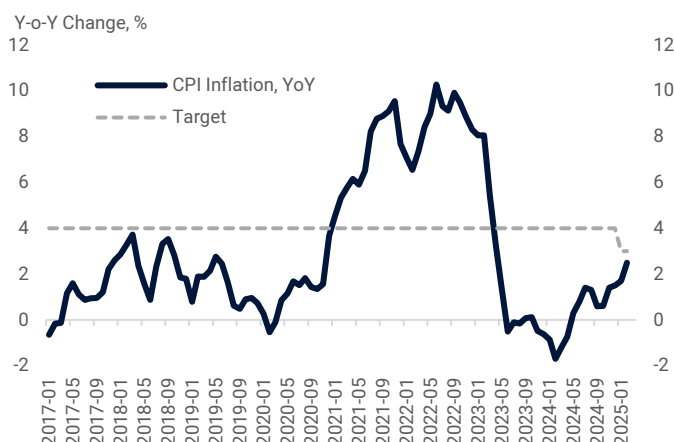
Figure 3.C.4: Nominal Private Wage Growth, Armenia
Y-o-Y Change, %



Source: Statistical Committee of the Republic of Armenia

A Subdued Inflationary Environment is Observed, Driven by the Diminishing Influence of Base Effects and Continuous Deflationary Pressures from the External Sector.

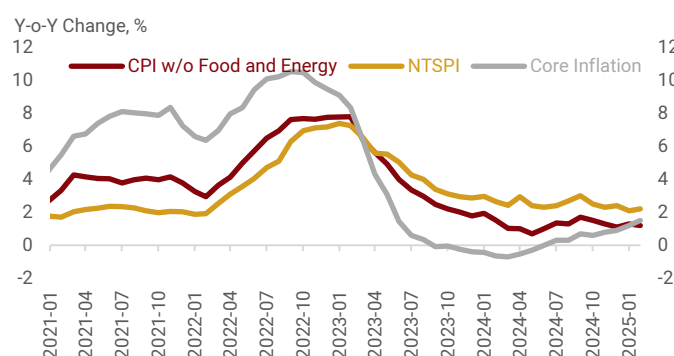
Figure 3.C.5: Y-o-Y CPI Inflation and the Target, Armenia



Source: Statistical Committee of the Republic of Armenia, CBA

Non-Traded Sticky Prices Continue to Stabilize

Figure 3.C.6: Underlying Inflation Measures, Armenia



Source: Statistical Committee of the Republic of Armenia, CBA

Inflation (cont.)

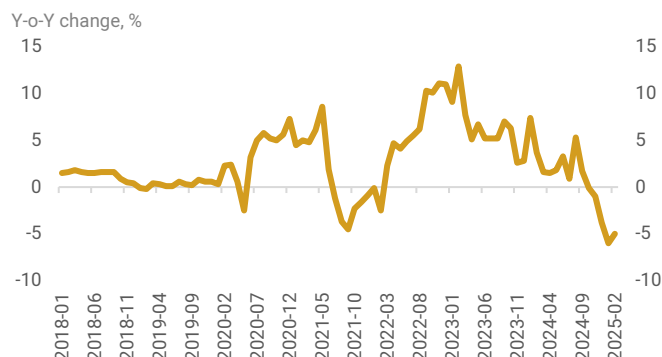
Core inflation, which excludes seasonal food and regulated services, stood at 1.5%, Y-o-Y in February 2025, remaining below the target level, and largely reflecting sustained declines in imported non-food and domestic seasonal food product prices (e.g., clothing, footwear, as well as dairy and meat products have decreased compared to the previous year).

Meanwhile, Non-Traded Sticky Price Inflation (NTSPI) somewhat eased, registering 2.2% Y-o-Y inflation in February, reflecting the weakening and adjustment of aggregate demand. The downward trend in inflation for certain goods and services continues due to the adjustment in external demand (Figure 3.C.7). Against this backdrop, market projections suggest that inflation in Armenia will gradually converge toward the 3% target over the medium term, stabilizing around this level (Table 3.C.1).

Inflation Expectations

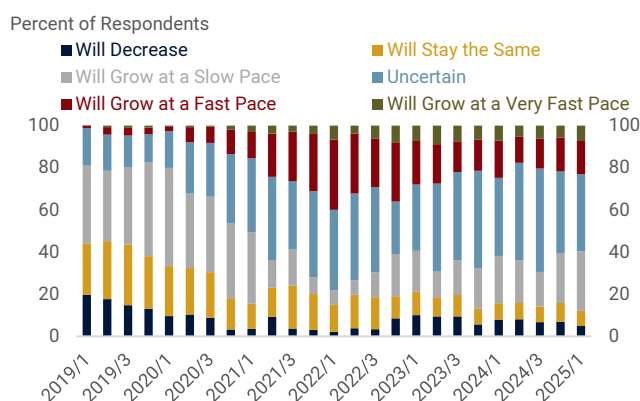
According to the results of the household inflation expectations survey conducted by the Central Bank of Armenia, in the first quarter of 2025, uncertainties have decreased, mainly reflected in the increase in high inflation expectations, which most likely reflects public perceptions regarding the persistence of high prices for certain goods. At the same time, the proportion of respondents expecting slower inflation has also increased, as evidenced by the decrease in the proportion of respondents expecting unchanged or lower inflation. This is somewhat consistent with the continued maintenance of the weak inflationary environment that has characterized the economy in recent quarters.

External Demand-Driven Inflationary Pressures Continue to
Figure 3.C.7: Hotel Sectors Inflation



Source: Statistical Committee of the Republic of Armenia, CBA

Slightly Larger Proportions of Respondents Expect Lower Inflation than in the Past, Uncertainty Remains Elevated
Figure 3.C.8: Survey on Households' Inflation Expectations, Armenia



Source: CBA

D. Financial Markets

Market Expectations of Policy Rates

According to the latest survey conducted by the CBA among financial market participants, as of March 12, 2025, market participants on average expect the CBA to continue gradually decreasing the policy rate over the course of the next eight decisions in line with the expected macroeconomic outlook. The key risks and issues that respondents emphasized as possible uncertainties related to these projections have served as an important input into the taxonomy of scenarios presented in Section E.

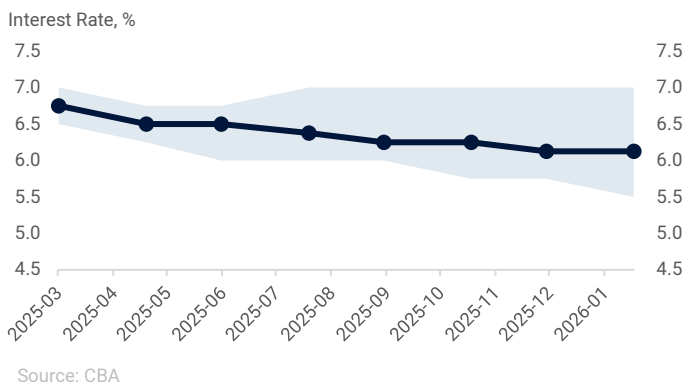
According to market expectations derived from the yield curve, bond markets reflect a slight downward revision in interest rate expectations over the one-year horizon. Overall, since the February policy rate decision, the downward shift of the yield curve reflects, on one hand, a reduction in market participants' expectations regarding the refinancing rate trajectory, and on the other hand, a possible re-evaluation of macroeconomic risks. This, in particular, may reflect a reconsideration of risks related to debt stabilization and financing of the fiscal deficit, as well as certain external factors, such as uncertainties surrounding long-term interest rates in the United States, a reduction in risk premiums due to recent geopolitical developments, and so on. The slight decline in the long-term segment of the curve in recent periods could also reflect the gradual adjustment of long-term inflation expectations to the new target level, following the reduction in the inflation target.

Neutral Interest Rate

Uncertainty remains regarding estimates of the neutral interest rate. However, the central bank's recent policy rate cuts suggest that the restrictive policy stance has significantly eased, bringing the monetary stance closer to neutral. Uncertainties around this remain in several areas. In the context of a slight easing of regional geopolitical tensions, the recent decrease in Armenia's country risk premium (Figure 3.D.6) may indicate a relatively lower neutral interest rate for Armenia. Additionally, elevated long term interest rates globally, driven not only by changes in the fundamentals of individuals countries' domestic economies but also by some uncertainty surrounding geopolitical developments, might suggest that underlying equilibrium interest rates in the world are higher, thus necessitating an upward revision in neutral rates in emerging market economies. At the same time, growth of potential and export capacities in Armenia in recent years and appreciation of real effective exchange rate might suggest a lower underlying interest rate in domestic economy, as investors also consider long-term domestic currency dynamics when making cross-border investment decisions. The uncertainty regarding inflation expectations remains high. However, the results of household surveys, along with the prolonged period of low inflation, may indicate a potential reduction in inflation expectations. As a result of the Central Bank's reduction in the inflation target, long-term nominal neutral interest rates are expected to decrease, in line with the formation of inflation expectations consistent with the new target.

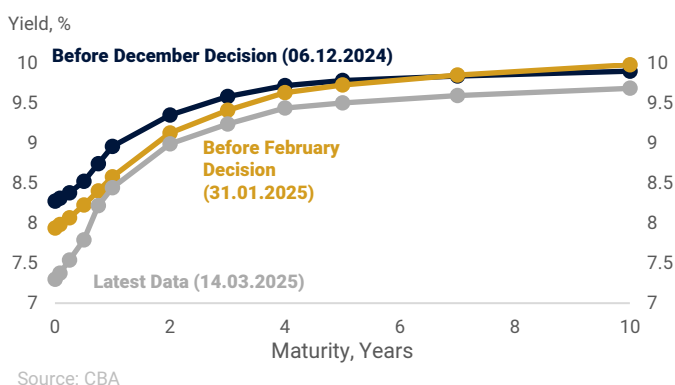
Most Market Participants Expect Gradual Declines in Policy Rate over the Next Year

Figure 3.D.1: Financial Market Participants' Expectations of the CBA Policy Rate According to March 12, 2025 CBA Survey



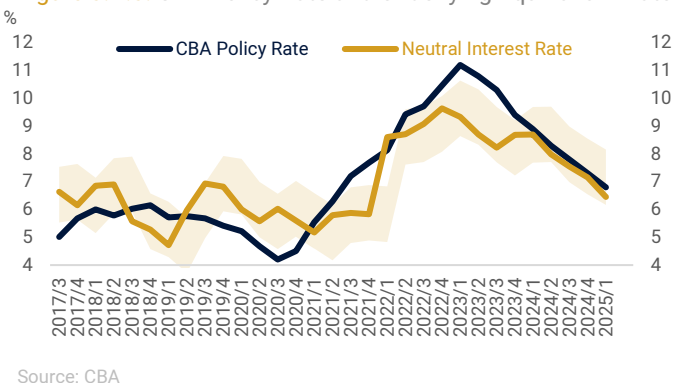
Bond Yields Decline Across All Maturities

Figure 3.D.2: Yield Curve Dynamics, Armenia



How Tight are Monetary Conditions?

Figure 3.D.3: CBA Policy Rate and Underlying Equilibrium Rate



Bank Lending Conditions

CBA surveys show that the index of commercial bank lending conditions continued to follow a net easing trend across all types of loans, while interest rates remain relatively stable, considering net increases in demand for these loans. The funds attracted and provided by commercial banks continued to grow in Q4 2024, likely reflecting high economic activity in the real sector. Consumer loans provided to households have continued to grow at a steady pace, while the growth rate of mortgage loans has declined, reflecting the already weakening demand for real estate following the suspension of the income tax return law. Despite the growth in the previous year, business lending decreased slightly in the fourth quarter. Still high GDP growth, accumulated savings in the private sector, as well as a relatively lower debt burden (relative to incomes) in the private sector could serve to drive additional consumer confidence, which could motivate further growth in credit fueling domestic demand driven pressures. On the other hand, geopolitical uncertainties in the region might deteriorate household and business confidence thus curbing economic activity.

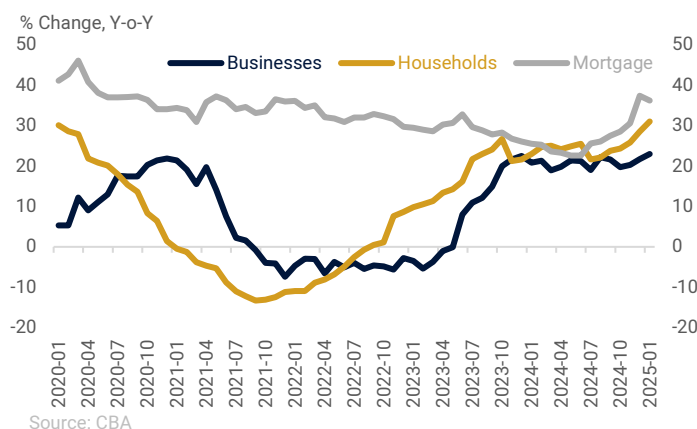
Nominal Exchange Rate

Since the beginning of 2024, the Dram has held relatively steady versus the US dollar, Euro, and Ruble (Figure 3.D.5). However, the Ruble appreciated somewhat in recent weeks, mainly due to positive expectations regarding the possible resolution of the Russian-Ukrainian conflict. At the same time, the relatively stable exchange rate of the dram against the US dollar reflects the ongoing developments in both the domestic economy and the external environment, with the resulting appreciation and depreciation effects largely balanced. The key risks and uncertainties regarding nominal exchange rates include the possibility of sustained growth in exports and trade and weaker imports of consumption goods to generate appreciation pressures (Figure 3.B.7). On one hand, these pressures may intensify depending on impacts of geopolitical developments on external demand for domestic services. On the other hand, these trends could be offset by uncertainties in the region and further increase in country risk premium as well as the possibility of domestic demand proving to be stronger, with greater domestic consumption (driven by accumulated savings and room for growth in consumer lending) driving higher imports.

The country risk premium (estimated as the difference between the yield on Armenian Eurobonds maturing in 2031 and a benchmark risk-free interest rate with the same maturity) somewhat decreased in the recent times (Figure 3.D.6). The slight decrease in Armenia's country risk premium reflects the reduction in regional geopolitical uncertainties, rather than country specific factors related to Armenia. On one hand, the risk associated with emerging economies has generally decreased, which may be attributed to some positive geopolitical developments in the Middle East. On the other hand, concerns about potential financial flows between emerging and developed countries—depending on the resolution of the Russia-Ukraine conflict—have increased, while recent developments in the U.S. economy have heightened uncertainty regarding long-term interest rate assessments.

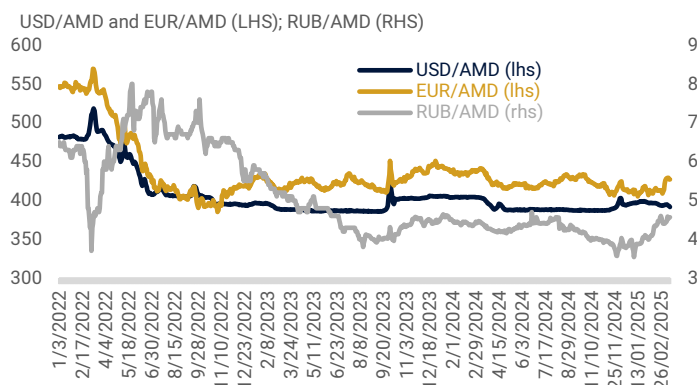
Demand for Loans Remains at a High Level

Figure 3.D.4: Change in Total Loans Provided by Commercial Banks to Households and Businesses, Armenia



Source: CBA

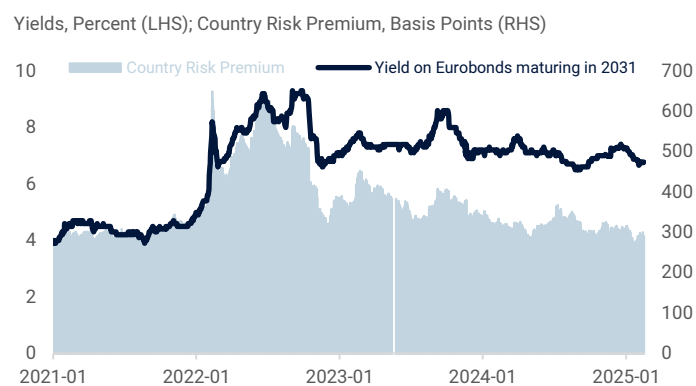
Figure 3.D.5: Nominal Exchange Rate for AMD against USD, EUR and RUB (Lower Value means Stronger Dram)



Source: CBA

While the Country Risk Premium Continues to Decline, Uncertainty Regarding the Outlook for Geopolitical Tensions Still Poses Risks, with Implications on Financial Markets

Figure 3.D.6: Yield on Armenian Eurobonds Maturing in 2031 and Estimated Country Risk Premium



Source: Ministry of Finance, CBA

E. Taxonomy of Scenarios

Purpose and Structure of the Taxonomy

The Taxonomy of Scenarios provides a comprehensive, structured assessment of the different types of risks, shocks, and sources of uncertainty that can affect the Armenian economy. It describes their potential impacts on inflation and economic environment in Armenia, as well as loosely illustrates implied monetary policy reactions by the CBA. As a structured summary of the various policy-relevant scenarios considered by a number of key stakeholders—including the Board, Staff, financial markets, and public—the Taxonomy presents the key issues that can impact policy decisions over a medium-term horizon in the context of a least regrets decision-making framework. The evolving Taxonomy of Scenarios is published in each quarterly MPR.

Table E.1: Taxonomy Structure

Case A-Type Considerations	Case B-Type Considerations
Expansionary Demand: Shocks result in aggregate demand rising more than aggregate supply, increasing underlying inflation. This requires an increase in the policy rate path that is sufficiently aggressive to anchor inflation and inflation expectations. Complications: credibility is fragile Output + Inflation +	Contractionary Demand: Shocks result in aggregate demand rising less than aggregate supply, decreasing underlying inflation. This requires a decrease in the policy rate path that is sufficiently aggressive to anchor inflation and inflation expectations. Complications: ELB, stuck in low inflation trap Output - Inflation -
Contractionary Supply: Nasty stagflationary shocks that require an aggressive upward adjustment in the expected path of the policy rate, resulting in a significant short-run tradeoff between inflation and other real objectives (e.g., unemployment) Complications: Hard to hit the wounded economy Output - Inflation +	Expansionary Supply: Favorable supply shock(s) reduce inflation toward the target and results in higher growth as well as lower interest rates; is a policymaker's dream. Complications: can be risky if this environment is extrapolated into the future Output + Inflation -

The taxonomy is classified into those that can have Case A-type (expansionary demand, contractionary supply) and Case B-type (contractionary demand, expansionary supply) considerations. While various classifications of shocks are possible, the taxonomy makes a distinction between supply and demand side forces, in order to provide policymakers a structured framework for analyzing the source of inflationary pressures and potential risks to the economy. By understanding the nature and magnitude of different types of shocks, policymakers can then design appropriate monetary policy responses to mitigate the negative impact of adverse shocks and leverage the benefits of positive shocks.

Taxonomy of Scenarios: Q1 2025

Table E.2: Taxonomy of Scenarios: Q1 2025

Case A-Type Considerations Expansionary Demand	Case B-Type Considerations Contractionary Demand
- The revaluation of economic policies in the United States has increased uncertainty regarding the extent of fiscal stimulus, particularly in the medium and long term. In this context, potential reductions in tax rates, combined with higher-than-expected public spending, could significantly increase the debt burden, contributing to a rise in the neutral interest rate in the U.S., thus affecting the neutral interest rates in emerging economies, including Armenia. - Due to the risks stemming from regional and local geopolitical conflicts, the country's risk premium could be adjusting rapidly toward its long-term, fundamental level. This adjustment reflects the unique characteristics of Armenia and the region, including uncertainties surrounding local and regional geopolitical developments, and other factors. In this context, a potential upward adjustment of the country risk premium poses risks related to an upward revision of the neutral interest rate, which, all else being equal, could predominantly result in inflationary pressures given a more accommodative monetary policy stance. - Due to the undercollection of tax revenues and the necessity of implementing social and other expenditures (which do not contribute to internal growth), there is a risk of a significant increase in the debt burden compared to expectations in the medium term, leading to an upward adjustment of the country risk premium toward its fundamental level. - The high economic growth recorded in the domestic economy may reflect higher levels of productivity, an increase in the marginal cost of capital and a rise in the neutral interest rate. In this case, there are risks of continued acceleration of demand and increased inflationary pressures. - Uncertainties regarding demand conditions in the domestic economy (the formation of excess demand and its sustainability). - Long-term above-potential economic growth, primarily driven by domestic demand factors, reflects the risks of sustaining an excess demand environment in Armenia. - Private consumption (and resulting inflationary pressures) could accelerate on the back of accumulated private savings, the continued high growth of consumer loans and income growth driven by positive developments in the tradable sector. - Formation of a more stimulative fiscal policy than expected, posing risks related to the expansion of domestic demand. - A gradual resolution of the Russia-Ukraine conflict and the creation of a more favorable economic environment in Russia, in a scenario where sanctions remain in full or largely intact along with the reduction of risk premiums in Russia, could enhance the purchasing power of the ruble. If capital spending increases and/or part of it is redirected towards large infrastructure projects, demand and economic growth could accelerate significantly. In this case, both tourism flows to Armenia and/or their average spending, as well as labor migration from Armenia to Russia, could rise. - Under conditions of persistent uncertainty surrounding inflation (or exchange rate) expectations, various potential shocks could lead to scenarios where these expectations become unanchored in an upward direction. - In the event of a potential increase in military expenditures by several major economies, the rise in prices of certain metals could lead to higher export revenues for Armenia and stimulate domestic demand.	- Concerns about a weak economic outlook persist in the global economy, especially in the European Union and China, the presence of structural issues and high uncertainties may result in sustained weak domestic demand, potentially leading to a prolonged period of subdued inflationary conditions in international commodity and raw material markets. - While growth in Russia remains at high levels, the more targeted and consistent application of Western sanctions nevertheless pose risks of a sharp slowdown in Russia's economic growth, particularly under tightening economic policies. In this context, these could have negative implications on Armenia, including further slowdowns in inflows of remittances to Armenia as well as general contractionary impacts on external demand for goods and services in the Armenian economy. - The prolonged high uncertainty surrounding U.S. economic policies could escalate into a "crisis of confidence," sharply restraining consumer and investment activity both in the U.S. and in global economies. - The gradual adjustment of the overheated real estate market poses risks to the growth outlook in the construction sector as well as real estate prices, with the potential for deceleration in the construction sector to have negative spillovers on other sectors of the economy and the overall demand environment, leading to deceleration and domestic demand-driven disinflation. - Headline inflation remains persistently below the target for a long period, which could lead to a sustained decline in long-term inflation expectations and contribute to restrained consumption patterns. - Risks of additional demand restraint by fiscal policy. - Additional restraint on demand, along with possible tax administration tightening, legislative changes and other measures needed to improve the tax-to-GDP ratio and finance the budget deficit in the future. - Enhanced tax revenue collection in the face of relative increase of capital expenditures share in the total government expenditure could result in fiscal policy having much more restrictive impacts on aggregate demand. - Slowing wage growth and rising unemployment amid non-widespread and non-inclusive economic growth reflected in highly concentrated income in specific sectors in parallel with relatively muted private consumption and low inflationary environment, drive uncertainty about domestic demand conditions in Armenia and pose risks that a negative demand environment could emerge, with implications for sustained deflationary pressures in the medium term. - In recent years, due to the inflow of capital and highly productive labor, significant uncertainties exist regarding productivity, long-term potential growth, the degree of real effective exchange rate appreciation, and the medium-term stability and trends of the capital flows that underpin these factors. This could contribute to the formation and maintenance of lower neutral interest rates in Armenia.

(Continued on the following page)

Case A-Type Considerations Contractionary Supply	Case B-Type Considerations (continued) Expansionary Supply
• Risks associated with disruptions in global supply chains. ◦ The potential for further escalation and worsening of regional conflicts (Middle East, Russia-Ukraine conflict) creates risk in terms of disrupting global supply chains (including oil and food) that can feed through to higher global inflation. This could result in, on the one hand, a tighter-than-expected policy stance in advanced economies, and on the other hand, higher prices being transmitted to the domestic economy through the imported goods channel. ◦ In the context of tightened trade policies among major economies and with the rest of the world, disruptions in production chains are likely to lead to increased production costs and global inflationary pressures in the short to medium term. • A significant decline in external trade flows to Armenia could occur in the context of targeted sanctions on Russia, enhanced effectiveness of third-country controls, and/or Russia's identification of alternative markets and trade routes. • In the event of a resolution to the Russia-Ukraine conflict and the full or partial lifting of sanctions, Armenia may face a significant outflow of capital and labor. This could result in a substantial reduction in aggregate demand, while simultaneously heightening the risks of broader inflationary pressures. • Due to regional and geopolitical uncertainties, developing economies, particularly Armenia, may face a scenario marked by an increase in country risk premiums and a slowdown in investment activity.	• The continued growth of labor supply in Armenia's economy, coupled with uncertainties surrounding the medium-term developments of the Russian economy and, in particular, the tightening of migration policies, could lead to a continued decline in seasonal migration from Armenia to Russia. • In the case of significant tightening of external trade policies by the US, medium-term global economic conditions may see an excess supply of goods and services (such as freight services) from several leading economies, posing deflationary risks for smaller economies.

Box 3. Market Reference Scenario

Under the CBA Monetary Policy Framework (FPAS Mark II), the CBA does not prepare baseline projections. Instead, we rely on information from financial market participants (including commercial banks, fund managers, institutional investors, and so on)—compiled through quarterly surveys—to develop a macro-consistent “market reference scenario (MRS).” This MRS, in many ways, serves a similar purpose as a traditional baseline projection, in the sense that it represents the market’s rough estimation of the “most likely future,” given the information available to market participants at a particular point in time. The MRS can serve as a substitute for the baseline for those external stakeholders (e.g. IFIs, fiscal authorities, and others) who rely on exogenously-provided projections when making their own planning decisions. Through the use of the MRS, the CBA provides the opportunity to markets to not only understand third-party forecasts of the “most likely” future, but also pay attention to those types of risks, uncertainties, and scenarios that can pose risks from the perspective of monetary policy and price stability (which are presented in the preceding Taxonomy). At the same time, this provides an opportunity to effectively communicate the logic and rationale behind CBA’s policy decisions under the prudent risk management approach.

Note: The CBA Macro Survey is conducted on a quarterly basis by the CBA. For the purposes of informing the Market Reference Scenario, participants are each asked to provide a macro-consistent scenario, including a qualitative description of the narrative underlying the scenario and associated Case A- and B-type risks, as well as accompanying quantitative 12-quarter-ahead projections for CPI inflation, real GDP growth, the CBA policy rate, and the nominal AMD/USD exchange rate. The Q1 2025 survey was carried out in January-February 2025 and featured responses from 18 commercial banks, 35 credit organizations, 8 insurance companies, 19 investment companies, and 1 fund manager.

Figure B.3.1: CPI Inflation

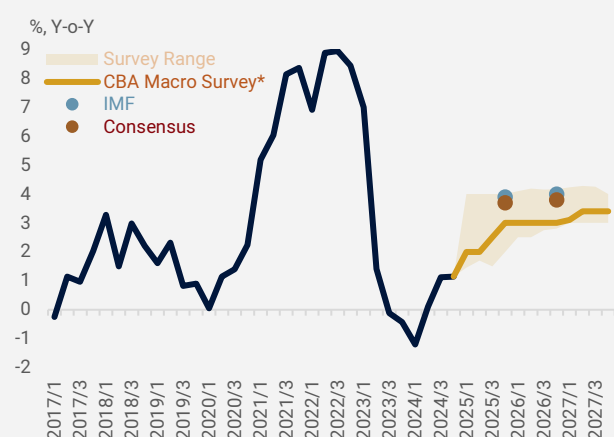


Figure B.3.3: Real GDP Growth Rate

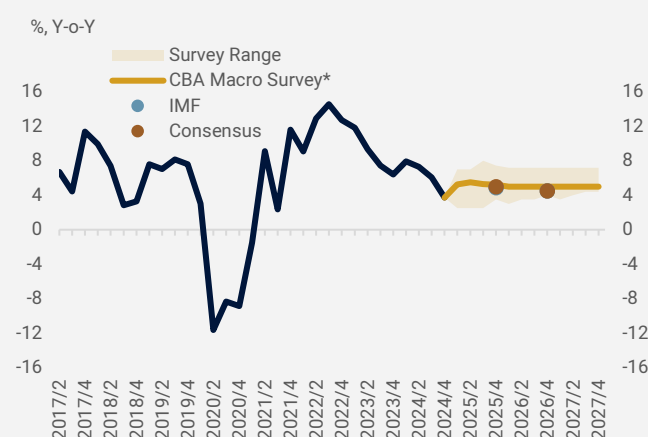


Figure B.3.2: CBA Policy Rate

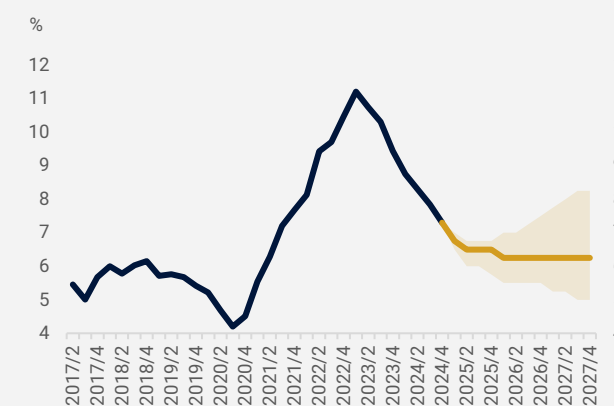
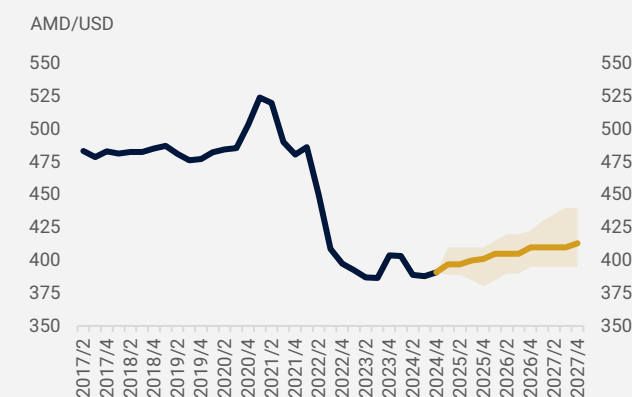


Figure B.3.4: Nominal AMD/USD Exchange Rate



* Note: CBA Macro Survey shown as average of survey responses (line) and range between min and max responses (shaded area).

Table B.4.1: Summary of Third-Party Projections

Source Date	IMF Apr-24	CBA Macro Survey Q1 25	Consensus Mar-25
GDP Growth (Annual Rate, %)			
2024(Actual)		5.9	
2025	4.9	5.3	5.0
2026	4.5	5.0	4.5
Inflation (Annual Rate, %)			
2024(Actual)		0.3	
2025	3.9	2.4	3.7
2026	4.0	3.0	3.8

F. Monetary Policy Outlook

Case A: Gradual Resolution of The Russia-Ukraine Conflict and The Creation of a Favorable Economic Environment in Russia

Interest Rates above Market Expectations

Recently, discussions on the resolution of the Russia-Ukraine conflict, including the potential for a normalization of relations between the parties, and, in particular, the potential conclusion of its active phase have intensified significantly. Despite the high level of uncertainty surrounding the possible timeline for the conflict's resolution and, especially, the nature and conditions of the normalization process, these developments could present upside risks for the Russian economy. Notably, there are no clear indications from the U.S. or the Eurozone regarding the full or partial removal of sanctions in the current discussions. Under this scenario, while the active phase of the conflict could conclude in the near term, the full scope or a significant portion of the sanctions imposed on Russia could remain in place. It is important to note that financial markets are beginning to partially price in these risks. Specifically, in recent weeks, the securities of major Russian enterprises have recorded a notable increase in value, reflecting optimistic expectations about the future. Conversely, despite the ongoing deterioration of Russia's trade balance, the nominal exchange rate of the Russian ruble has appreciated considerably, likely indicating a significant reassessment of the country's risk premium (Figure 3.F.1). Under this scenario, the relative increase in household wealth in Russia could lead to higher tourist inflows to Armenia, as well as an increase in their average spending, thereby contributing to stronger domestic demand.

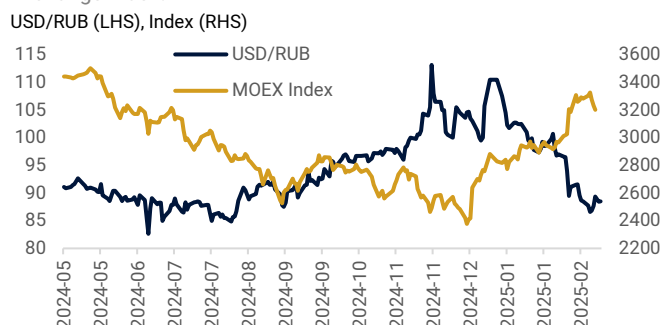
At the same time, the conclusion of the active phase of the conflict would create a need for the implementation of large-scale infrastructure projects and reconstruction efforts. The financing of these expenditures could be achieved through the issuance of additional debt, especially considering Russia's relatively low current debt burden, as well as through the redistribution of a portion of the significantly increased defense spending in recent years. In this scenario, fiscal policy would have a broader impact on aggregate demand. As a result, while the conclusion of the active phase may lead to a modest increase in the labor supply in the economy's real sector, the overall conditions will remain tight due to the significant rise in demand, which is expected to contribute to accelerated wage growth.

In this context, the positive outlook for the Russian economy, the appreciation of the ruble, and particularly the increased demand for labor due to large-scale infrastructure projects, are expected to drive a rise in labor migration flows to Russia. This would contribute to the expansion of domestic demand in Armenia and lead to a modest slowdown in potential GDP growth.

As a result, considering the increase in external demand, remittances to Armenia, and the growing demand for labor in Armenia, the overall demand environment in Armenia will continue to expand, creating additional inflationary pressures. The rise in external demand will also lead to an appreciation of the real effective exchange rate, which will partially offset the inflationary effects. However, given the expansion of domestic demand and the potential risks of rising inflation expectations, this scenario suggests a higher policy rate path compared to market expectations in the medium term to achieve price stability.

Positive signals from the ongoing negotiations have generated an optimistic sentiment in the financial markets.

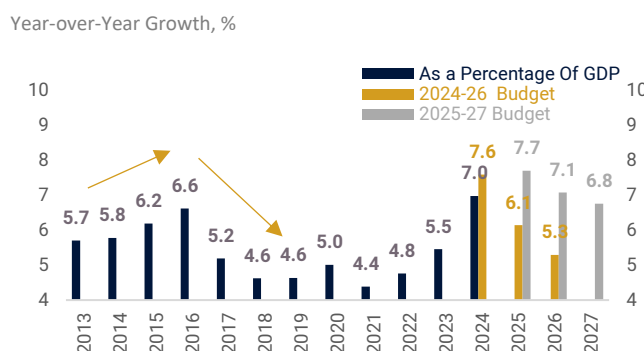
Figure 3.F.1: The Ruble Exchange Rate and the Moscow Stock Exchange Index.



Source: Bloomberg

Following The Conclusion of The Conflict, There May Be a Reallocation of a Portion of Capital Expenditures Towards Infrastructure Financing

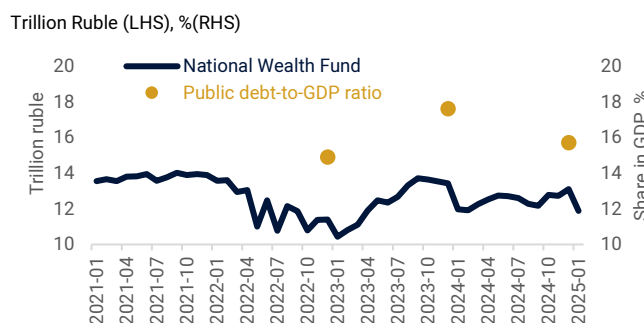
Figure 3.F.2: The Share of Military Expenditures in GDP.



Source: Ministry of Finance of RF

Despite the deficit in recent years, Russia still has significant fiscal space to finance infrastructure projects.

Figure 3.F.3: The National Wealth Fund and The Share of Public Debt in GDP.



Source: Ministry of Finance of RF

Case B: Prolonged High Uncertainty in U.S. Economic Policies, Heightened Risks of a Sharp Demand Slowdown in Both the U.S. and the Global Economy

Interest Rates below Market Expectations

In the immediate aftermath of the U.S. presidential election, global economic policy uncertainty has risen sharply, driven largely by the anticipated changes in U.S. fiscal, migration, and trade policies. If elevated uncertainty persists for an extended period, it could evolve into a broader “crisis of confidence,” exerting downward pressure on global consumer spending and investment activity. In an environment of heightened uncertainty and deteriorating economic prospects, demand for risk-free assets may increase, pushing up their prices while triggering a significant decline in the value of riskier assets, such as equities. A broad-based decline in asset prices—particularly those constituting a substantial share of household wealth—could further dampen consumption.

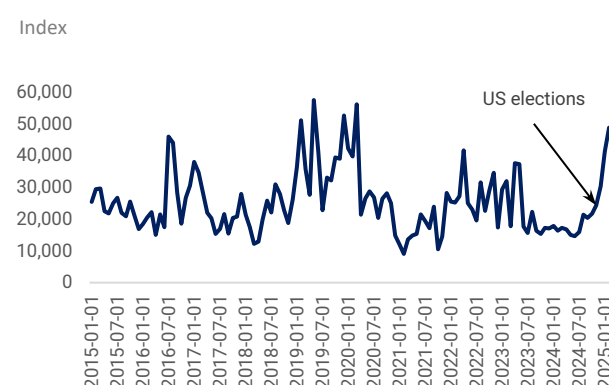
Notably, early signs of these risks materializing are already evident in asset price movements and shifts in economic behavior. Surveys conducted by various institutions indicate a marked deterioration in consumer confidence, which is beginning to manifest in actual spending patterns. In January, U.S. retail sales declined by approximately 1% month-over-month, while demand in the real estate market has also weakened in recent months. Financial markets have started pricing in these risks, with the S&P 500 index falling by around 5% over the past month and oil prices declining by roughly 4%.

The heightened uncertainty surrounding global economic relations and U.S. economic policies may similarly exert negative effects on other major economies, particularly the European Union and China. These uncertainties could contribute to the persistence or deepening of weak domestic demand, exacerbated by structural challenges. For Armenia, the impact of weakening external demand for its goods and services, as well as the deflationary pressures from lower imported food prices, may be partially offset by inflationary effects stemming from a potential increase in the country's risk premium. However, given Armenia's prolonged low-inflation environment, the realization of this scenario poses the risk of an undesirable decline in inflation expectations.

Under such circumstances, in line with its commitment to maintaining price stability at minimal economic cost, the Central Bank of Armenia may need to pursue a more aggressive policy rate reduction than currently anticipated by markets. This approach would aim to stimulate medium-term demand and guide inflation back toward its target level.

Global Economic Policy Uncertainty Is Largely Driven By The Economic And Trade Policies Of The United States.

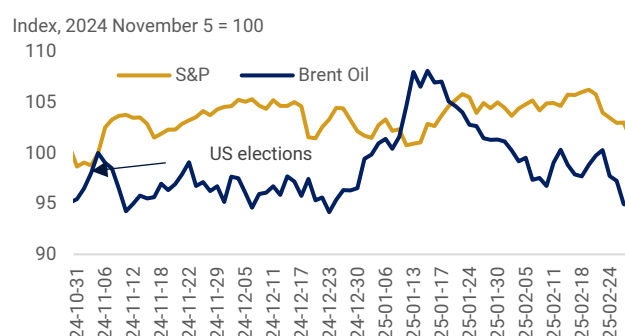
Figure 3.F.4: Global Economic Policy Uncertainty Index



Source: Economist Intelligence Unit (EIU)

Financial Markets Are Already Partially Pricing In The Risks Associated With The High Level Of Uncertainty.

Figure 3.F.5: International Prices of US Stocks and Oil



Source: Federal Reserve Bank of St. Louis

Summary of Illustrative Case A & Case B Macroeconomic Projections

Figure 3.F.6: Endogenous Interest Rate Path, %

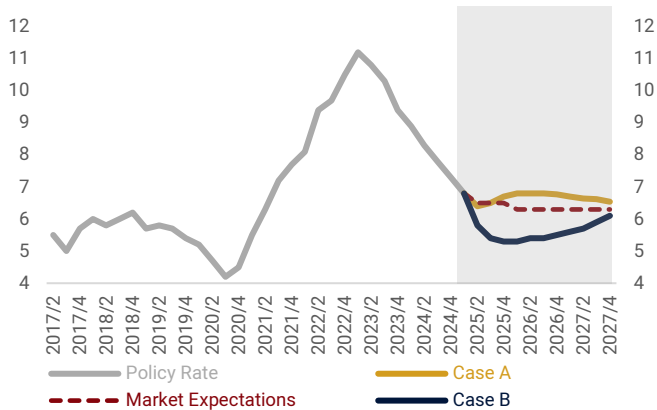


Figure 3.F.9: Non-Traded Sticky Price Inflation, Y-o-Y %

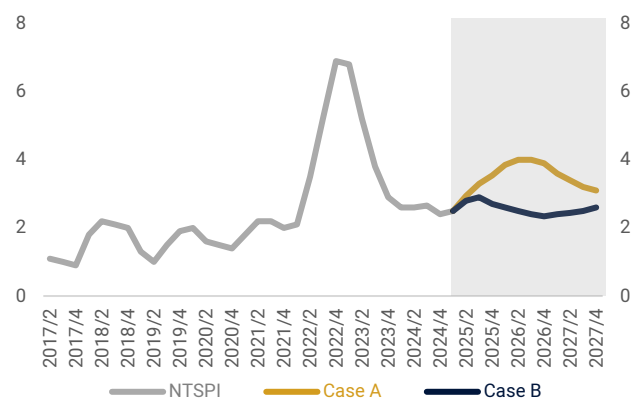


Figure 3.F.7: Real GDP Growth, Y-o-Y %

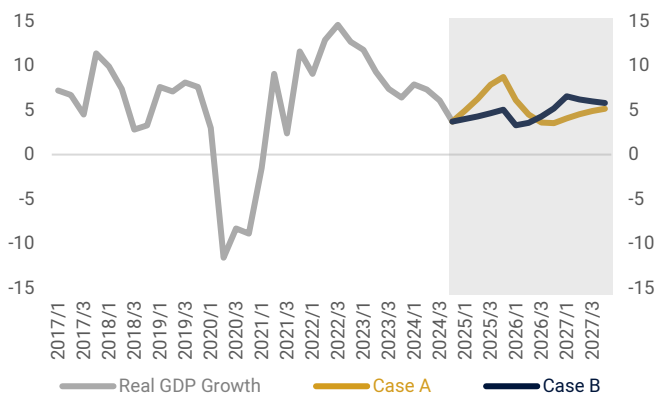


Figure 3.F.10: Output Gap, %

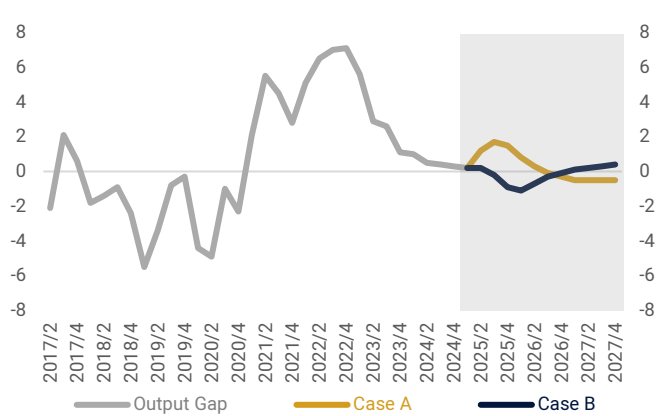


Figure 3.F.8: Headline CPI Inflation, Y-o-Y %

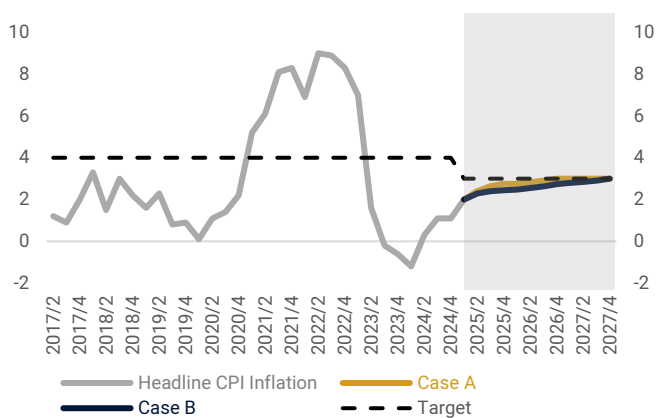


Figure 3.F.11: Real Interest Rate, %

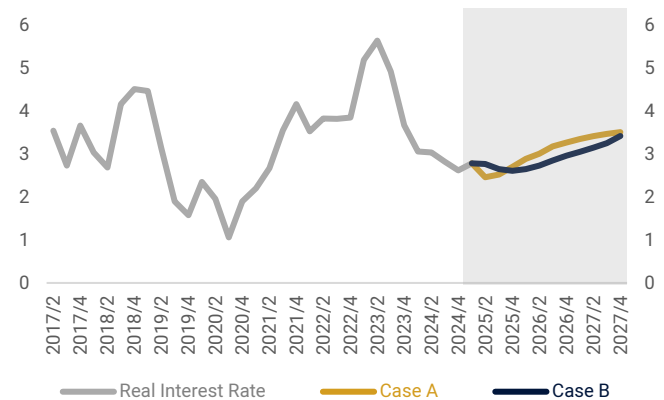


Figure 3.F.12: Nominal Effective Exchange Rate, Index

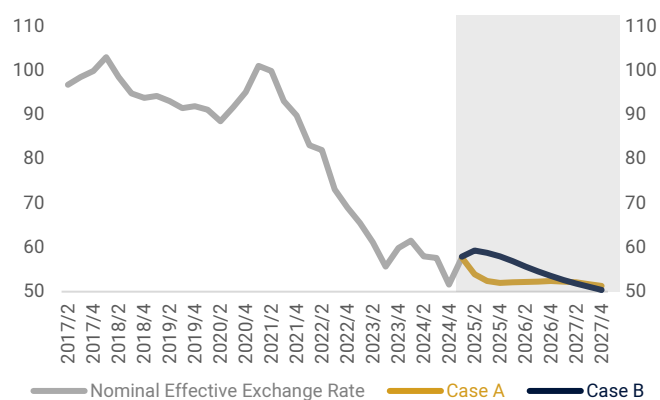


Figure 3.F.14: Model-Based 1-Year Ahead Inflation Expectations, Y-o-Y %

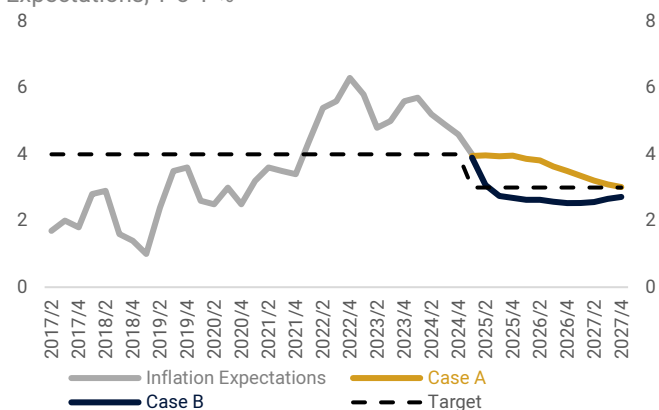


Figure 3.F.13: Real Effective Exchange Rate, Index

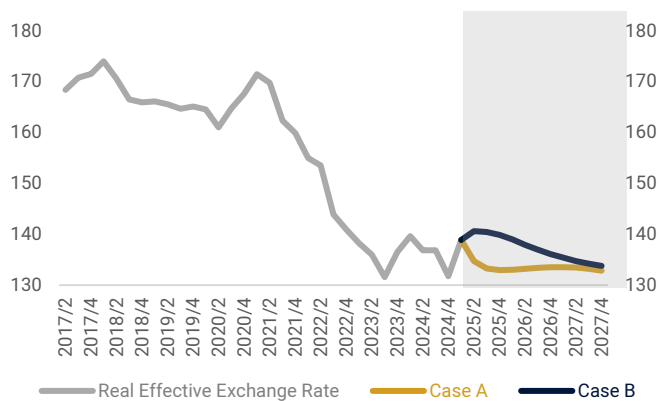


Table 3.F.1: Summary of Illustrative Macroeconomic Projections
Historical Data and Illustrative Case A & B Scenario Projections

		2023	2024	2025		2026		2027	
		Actual	Actual	Case A	Case B	Case A	Case B	Case A	Case B
Global Economy									
USA economic growth	real growth, %	2.6	2.8	2.6	1.4	2.0	1.8	2.3	1.9
Eurozone economic growth	real growth, %	0.4	0.7	1.0	0.0	1.2	1.0	0.9	1.5
Russia economic growth	real growth, %	3.0	4.1	2.0	0.8	2.1	1.9	1.6	2.0
USA inflation	average, %	4.0	2.9	2.6	1.7	2.1	0.8	2.0	1.0
EU inflation	average, %	5.4	2.4	2.1	1.5	2.0	1.2	1.9	1.4
Russia inflation	average, %	5.5	8.4	6.3	6.8	3.4	4.3	4.0	4.1
Oil price	dollar/barrel	82.6	80.5	73.4	72.2	69.9	68.5	68.3	66.8
Copper price	dollar/mt	8472.1	9142.1	9393.7	9213.1	9541.9	9212.6	9570.8	9212.7
FAO food price index	index	124.1	122.0	127.3	125.4	125.0	120.7	121.8	116.8
Domestic Economy									
Inflation									
Inflation	Y-o-Y, %, EOP	-0.6	1.5	2.6	2.4	3.1	2.9	3.0	3.0
CPI inflation	Y-o-Y, %, avg.	2.0	0.3	2.5	2.3	2.9	2.6	3.0	3.0
Non-traded sticky price inflation	Y-o-Y, %, avg.	4.8	2.5	3.1	2.8	3.9	2.4	3.3	2.6
Gross Income									
GDP	billion dram	9453.2	10127.1	10955.5	10714.5	11481.4	11185.9	12119.7	11966.7
GDP	real growth, %	8.3	5.9	7.0	4.5	4.7	4.1	4.7	6.1

Table continued on the following page.

Historical Data and Illustrative Case A & B Scenario Projections (continued from previous page)

		2023	2024	2025		2026		2027	
		Actual	Actual	Case A	Case B	Case A	Case B	Case A	Case B
Demand									
Consumption	real growth, %	9.0	1.6	8.6	5.2	5.2	2.2	3.0	6.3
Public consumption	real growth, %	28.3	-22.3	9.9	9.9	3.4	3.4	6.2	6.2
Private consumption	real growth, %	5.6	6.8	9.8	5.8	5.5	1.9	2.5	6.3
Gross accum. of fixed assets*	real growth, %	10.1	11.1	17.9	12.1	4.6	3.9	4.6	5.9
Public investment**	real growth, %	27.0	1.5	47.9	47.9	11.5	11.5	4.6	4.6
Gross accumulation of private fixed assets	real growth, %	3.6	15.2	5.1	-3.2	1.7	0.6	4.6	6.5
Export of goods and services	real growth, %	30.7	35.6	-19.8	-24.0	2.8	0.4	1.7	4.7
Import of goods and services	real growth, %	30.2	31.4	-19.7	-22.8	3.0	-1.2	1.8	5.5
Current Account									
Balance of trade	million USD	-203.2	-590.2	-944,4	-1368,4	-1190,7	-1488,9	-1383,6	-1413,1
Money transfers	million USD	979.0	739.2	855,9	787,5	855,9	806,0	834,1	825,3
Current account	million USD	-556.3	-1040.9	-954,3	-1378,3	-1132,3	-1480,4	-1347,0	-1385,3
Balance of trade	share of GDP, %	-0.8	-2.3	-3.4	-5.2	-4.1	-5.6	-4.7	-5.0
Money transfers	share of GDP, %	4.1	6.2	3.0	3.0	3.0	3.0	2.8	2.9
Current account	share of GDP, %	-2.3	2.8	-3.4	-5.3	-3.9	-5.6	-4.5	-4.9
Public sector***									
Revenues and grants	billion dram	2358.6	2573.5	2,837.6	2,837.6	3,123.2	3,123.2	3,458.6	3,458.6
Tax revenue	billion dram	2221.9	2390.9	2,720.3	2,720.3	3,047.0	3,047.0	3,358,8	3,358,8
Expenditures	billion dram	2550.2	2892.6	3,441.7	3,441.7	3,629.5	3,629.5	3,849.8	3,849.8
Deficit	billion dram	-191.6	-319.2	-604.1	-604.1	-506.3	-506.3	-391,2	-391,2
Revenues and grants	share of GDP, %	24.8	25.41	25.9	26.5	27.2	27.9	28.5	28.9
Tax revenue	share of GDP, %	23.4	23.61	24.8	25.4	26.5	27.2	27.7	28.1
Expenditures	share of GDP, %	26.8	28.56	31.4	32.1	31.6	32.4	31.8	32.2
Deficit	share of GDP, %	-2.0	-3.15	-5.5	-5.6	-4.4	-4.5	-3.2	-3.3

* The Central Bank only presents the indicator of gross fixed asset accumulation instead of gross accumulation, since the change in tangible working capital inventories is calculated by Armenia's Statistics Committee as a balancing item and it does not show the true level of gross accumulation. See https://www.armstat.am/file/article/sv_04_19a_112.pdf.

** Actual indicators of public investment are the capital expenditures of the consolidated budget, and the estimates are based on a revised macro-framework, 2025-2027, available at the time.

*** The 2024 budget indicators are the Central Bank of Armenia estimate. The 2025-2027 indicators are presented from the state Mid-Term Expenditures Framework.

